

SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 16
JUDICIAL OFFICER: BENJAMIN T. REYES II
HEARING DATE: 07/08/2026

**INSTRUCTIONS FOR CONTESTING TENTATIVE RULINGS
IN DEPARTMENT 16**

The tentative ruling will become the ruling of the Court unless by 4:00 P.M. of the Court day preceding the hearing, notice is given of an intent to argue the matter. Counsel or self-represented parties must email Department 16 (Dept16@contracosta.courts.ca.gov) to request argument and **must specify, in detail, what provision(s) of the tentative ruling they intend to argue and why**. Counsel or self-represented parties requesting argument must advise all other counsel and self-represented parties by no later than 4:00 P.M. of their decision to argue, and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Pursuant to Local Rule 3.43(2).)

The prevailing party must prepare and e-file a proposed order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

ALL APPEARANCES TO ARGUE WILL BE IN PERSON OR BY ZOOM, PROVIDED THAT PROPER NOTIFICATION IS RECEIVED BY THE DEPARTMENT AS PER ABOVE.

Zoom link-

<https://www.zoomgov.com/j/1619504895?pwd=NOV1N3JFRnJ0TEVoSDNrTGRzakF3UT09>

ID: 161 950 4895

Password: 812674

Courtroom Clerk's Session

1. 9:00 AM CASE NUMBER: C23-02445
CASE NAME: DARSHAN SINGH VS. RUDOLPH SANDOVAL
BANKRUPTCY REVIEW HEARING RE: ANTHONY JOHN ROSTON
FILED BY:

TENTATIVE RULING:

The complaint in this action was dismissed with prejudice by Plaintiff on May 22, 2026. No appearance is required on July 8, 2026.

2. 9:00 AM CASE NUMBER: C23-02445
CASE NAME: DARSHAN SINGH VS. RUDOLPH SANDOVAL
BANKRUPTCY REVIEW HEARING AS TO SANDOVAL
FILED BY:

TENTATIVE RULING:

The complaint in this action was dismissed with prejudice by Plaintiff on May 22, 2026. No appearance is required on July 8, 2026.

3. 9:00 AM CASE NUMBER: C25-01821
CASE NAME: JAMES BIDWELL VS. DOROTHY GALLOWAY
HEARING ON ORDER TO SHOW CAUSE IN RE: DISMISSAL
FILED BY:

TENTATIVE RULING:

This case trails the hearing for Line 12. This case is **dismissed** without prejudice. No appearance is required at the hearing on July 8, 2026.

4. 9:00 AM CASE NUMBER: C25-01863
CASE NAME: DARON OLIVER VS. SELINA CHEUNG
CASE MANAGEMENT CONFERENCE TO TRAIL HEARING ON DEMURRER TO COMPLAINT
FILED BY:

TENTATIVE RULING:

This Case Management Conference (CMC) trails the hearings on the Demurrer and Motion to Strike for Lines 13 and 14. The hearing for those motion were **vacated** by stipulation. This CMC is continued to January 4, 2027 at 8:30 a.m. Counsel are ordered to meet and confer to discuss alternative dispute resolution and to file a further Case Management Conference pursuant to Court rules. No appearance is required on July 8, 2026.

Law & Motion

5. 9:00 AM CASE NUMBER: C23-02391
CASE NAME: OLD REPUBLIC TITLE COMPANY VS. JEANNIE GREGORI
HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL
FILED BY: GREGORI, JEANNIE M.

TENTATIVE RULING:

Summary

Attorney Sil Vossler, who is Counsel for Defendants Jeannie M. Gregori and Shannon Gregori Duke, filed a Motion to be Relieved as Counsel. The Motion is **granted** as set forth herein.

Background

This case arises from a family dispute concerning the management of decedent David Gregory's (David) care, assets, and finances in his last years, with particular focus on the sale of David's home while he was in an assisted living facility. Defendants Shannon Gregori Duke and her sister Jeannie Gregori are David's daughters, and Gilbert is David's brother. While David's house was sold in or around November 2020, the sale proceeds had not been claimed as of the date of David's death on October 20, 2022. Plaintiff Old Republic Title Company (ORTC) filed the initiating interpleader complaint on September 21, 2023, alleging competing claims to the house sale proceeds still in ORTC's

possession, naming Shannon and Gilbert as defendants, among others. There are various crossclaims in this action.

On February 26, 2026, Sil Vossler, (“Withdrawing Counsel”) who is Counsel for Defendants Jeannie M. Gregori and Shannon Gregori Duke, filed a Motion to be Relieved as Counsel. Withdrawing Counsel supports his motion with a declaration claiming that “A irreparable breakdown has occurred in the attorney–client relationship such that continued representation is no longer feasible. I requested that my client execute a substitution of attorney to permit withdrawal without court intervention. The substitution has not been executed. Accordingly, court approval is required. [] I have taken reasonable steps to avoid prejudice to my client, including providing notice of my intent to withdraw and advising the client to seek substitute counsel.”

Analysis

Cal. Rules of Court Rule No. 3.1362 and Cal. Code of Civ. Proc. §§284(1) and (2) sets forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination “upon the consent of both client and attorney,” or “upon order of the court, upon the application of either client or attorney, after notice from one to the other.” Defendant’s Counsel has complied with the provisions of this rule and statute providing notice to Plaintiff and supporting this motion with a declaration articulating the reasons for withdrawal.

The Court finds that there is good cause to grant this Motion to relieve Withdrawing Counsel. The Court acknowledges that the prejudice to Defendants is minimal, as there is ample time for Defendants to retain new trial counsel before the trial setting conference set for September 8, 2026.

Ruling

After reviewing the papers submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of Withdrawing Counsel to be Relieved as Counsel of Record. The Court makes the following orders:

1. This motion is **granted**.
2. The Court will execute the Proposed Order Granting Attorney’s Motion to be Relieved as Counsel (Judicial Council Form MC-053) as lodged on February 26, 2026. The withdrawal is effective immediately.
3. Defendant’s Counsel is ordered to serve a copy of the Order (MC-053) to Defendants by mail at their last known address, along with a change of address form, Judicial Council Form MC-040, instructing the client to fill out and file the change of address form with the Court.
4. The Court confirms the Trial Setting Conference for September 8, 2026 at 8:30 a.m. Withdrawing Counsel is ordered to provide notice to Defendants of this TSC, and to inform Defendants that they are ordered to appear remotely via Zoom and that they are ordered to seek substitute counsel. The Court’s prior orders disqualifies Jeannie Gregori from serving as Counsel to her sister, Shannon Gregori Duke, in this case.
5. Withdrawing counsel shall file a proof of service form indicating that the client was served

with the Court's Order (MC-053) and the Change of Address form (MC-040).

6. 9:00 AM CASE NUMBER: C23-02758

CASE NAME: JOSHUA RICCABONA VS. DOLANS OF PINOLE LUMBER AND BUILDING MATERIALS CO.
HEARING ON MOTION IN RE: PRELIMINARY APPROVAL OF CLASS ACTION AND PAGA SETTLEMENT
FILED BY: RICCABONA, JOSHUA

TENTATIVE RULING:

Summary

The Court **grants** preliminary approval to the Class Action and PAGA Settlement ("Settlement") between Plaintiff Joshua Riccabona and those similarly situated ("Plaintiff") and Defendants Dolans of Pinole Lumber and Building Materials Co. and Dolans of Concord ("Defendants"). No appearance is required at the hearing on July 8, 2026.

Background

A summary of the proposed settlement terms follows. The Settlement creates a Gross Settlement Amount of \$662,000.00 to resolve claims alleging Labor Code violations including failure to pay minimum and overtime wages, meal and rest period violations, inaccurate wage statements, and related claims for the Class Period of December 29, 2018, through December 23, 2024.

The Settlement Class consists of all persons who worked for Defendants in California as hourly-paid or non-exempt employees during the Class Period. The Court is requested to provisionally certify this Class for settlement purposes only; to appoint Plaintiff Joshua Riccabona as Class Representative, and to appoint John G. Yslas, Jeffrey C. Bils, Emily K. Borman, and Courtney M. Miller of Wilshire Law Firm, PLC as Class Counsel. The Court is also requested to appoint ILYM Group Inc. as Settlement Administrator.

From the Gross Settlement Amount of \$662,000.00, the following payments shall be deducted upon final approval: (1) a Class Representative Service Payment of up to \$10,000.00 to Plaintiff; (2) attorneys' fees to Class Counsel not to exceed one-third of the Gross Settlement Amount (\$220,666.67); (3) litigation costs to Class Counsel not to exceed \$47,000.00; (4) Settlement Administration Costs not to exceed \$7,750.00; (5) PAGA civil penalties of \$30,000.00; and (6) individual class payments to participating Class Members. The Net Settlement Amount available for distribution to Class Members after these deductions is estimated to be \$346,583.33.

The \$30,000.00 PAGA penalty allocation shall be distributed as follows: 75% (\$22,500.00) to the California Labor and Workforce Development Agency ("LWDA") and 25% (\$7,500.00) to Aggrieved Employees as Individual PAGA Payments. Individual class payments to Class Members shall be calculated based on the number of workweeks worked during the Class Period, while Individual PAGA Payments shall be calculated based on the number of PAGA Pay Periods worked. For tax purposes, individual class payments shall be allocated 20% to wages and 80% to interest and penalties, while Individual PAGA Payments shall be allocated 100% to penalties. Defendants shall separately pay all employer payroll taxes on the wage portions of individual class payments.

No portion of the Gross Settlement Amount shall revert to Defendants. Any uncashed checks shall be

transmitted to the California Controller's Unclaimed Property Fund. Any deductions not approved by the Court shall be retained by the Settlement Administrator in the Net Settlement Amount. The Settlement Administrator shall distribute Class Notice to Class Members by first-class mail, with procedures for re-mailing to forwarding addresses or addresses obtained through Class Member Address Searches.

Class Members may opt out of the Settlement or object to its terms. The deadline to opt out or object shall be extended by fourteen (14) days for any Class Member whose notice was remailed. The Court approves the form and content of the Class Notice as satisfying due process requirements. The Settlement Administrator shall implement the notice plan according to the Implementation Schedule.

Upon final approval, the Settlement will result in the release of all claims alleged in the Class Action and PAGA Action, including claims for failure to pay wages, failure to provide meal and rest periods, wage statement violations, and all related PAGA penalties based on the facts alleged in the operative pleadings and PAGA Notices.

A final approval hearing shall be scheduled to determine whether the Settlement, attorneys' fees and costs, Class Representative Service Payment, and PAGA penalty allocation should be finally approved as fair, reasonable, and adequate.

Analyses

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, specifically \$220,666.6, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed

through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval.

Similarly, litigation costs and the requested representative payment of \$10,000.00 for the Plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

The Court finds that the Settlement falls within the range of reasonableness, was reached through arm's length negotiations with the assistance of a neutral mediator, and appears fair, adequate, and reasonable for preliminary approval purposes.

Ruling

1. The settlement is sufficiently fair, reasonable, and adequate to justify *preliminary* approval.
2. The motion is **granted**.
3. Plaintiff's Counsel is directed to prepare an order reflecting this ruling, the other findings in the previously submitted proposed order, and this ruling, attaching a copy of this ruling.
4. Plaintiff's counsel is ordered to obtain a hearing date for the Motion for Final Approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date, which shall include the matters necessary to comply with Code of Civil Procedure section 384(b).
5. Notwithstanding any contrary provision in the settlement agreement, 5% of the attorney's fees are to be withheld by the administrator until released by the Court after review of the compliance statement.
6. The Court may issue a release through an unreported minute order without hearing on the compliance statement.
7. No appearance is required at the hearing on July 7, 2026.

7. 9:00 AM CASE NUMBER: C23-03034
CASE NAME: VICTORIA PLUMLEE VS. JERRY MCLAUGHLIN, MD
HEARING ON DEMURRER TO: 3RD AMENDED COMPLAINT
FILED BY:

TENTATIVE RULING:

Summary: Defendant Stanford Health Care's ("Defendant") Demurrer to the Third Amended

Complaint is vacated. Plaintiff Victoria Plumlee dismissed her action against Defendant with prejudice on May 5, 2026. The Notice of Entry of Dismissal was filed on May 7, 2026. No appearance is required at the hearing on July 8, 2026.

8. 9:00 AM CASE NUMBER: C24-01053
CASE NAME: JPMORGAN CHASE BANK, N.A. VS. ABDULLAH TALEB
HEARING ON SUMMARY MOTION FILED BY PLAINTIFF, JPMORGAN CHASE BANK
FILED BY:
TENTATIVE RULING:

Before the Court is Plaintiff JPMorgan Chase Bank, N.A.'s Motion for Summary Judgment or, in the Alternative, Summary Adjudication as against Defendant Abdullah M. Taleb.

For the following reasons, Plaintiff's Motion for Summary Judgment is granted.

Factual Background

This matter pertains to the alleged default in making payments on a loan made by Plaintiff to Defendant RCS Brokering, Inc. and guaranteed by Defendant Abdullah M. Taleb.

On January 20, 2022, Plaintiff JPMorgan Chase Bank, N.A. ("Chase") made a line of credit loan to Defendant RCS Brokering Inc. in the amount of \$400,000 (the "Loan"). (UMF 1-3) The Line of Credit Note ("Note") evidencing the Loan was signed by Defendant Abdullah Taleb as President of RCS Brokering, Inc. (UMF 2, Escobar Decl. Ex. 1.) Mr. Taleb also signed a Continuing Guaranty ("Guaranty") wherein he personally agreed to "pay the Liabilities" in the event of a default on the Loan. (UMF 5, Escobar Decl. Ex. 2.) Pursuant to the Guaranty Defendant Taleb agreed to pay not only the Liabilities "but will also reimburse the Bank for any fees, charges, costs and expenses, including reasonable attorneys' fees ... and court costs, that the Bank may pay in collecting from the Borrower or the Guarantor...." (UMF 6, Escobar Decl. Ex. 2.)

Under the Note, RCS was required to make monthly payments of "[a]ccrued interest or \$100.00, whichever is greater ... beginning on February 20, 2022...." (UMF 7.) The Account Transaction History ("History") indicates that the full amount of the Loan – *i.e.* \$400,000 – was advanced and outstanding as of January 31, 2022. (Escobar Decl. Ex. 3.) The History shows payments made on the Loan through at least November 2023. (*Ibid.*) In December 2023, RCS stopped making payments on the Loan thereby defaulting. (UMF 8.)

In the event of a default Chase was entitled to declare the Loan to be "immediately due and payable." (UMF 9.) The Guaranty provides that in the event of a default by RCS, Mr. Taleb shall pay any and all amounts due under the Loan. (UMF 10.) On February 8, 2024, Chase sent notice of the default to both RCS and Mr. Taleb. (UMF 11-12.) The default has not been cured. (UMF 13.)

The Loan was guaranteed in part by the Small Business Administration ("SBA"). (UMF 20.) After RCS's default, the SBA honored the guarantee and paid to Chase \$179,5991.87. (*Ibid.*) That amount was

applied to the Loan on November 19, 2024. (*Ibid.*) Pursuant to the Note and Guaranty, RCS and Mr. Taleb's "liability under the Note will continue with respect to any amounts SBA may pay Bank based on an SBA guarantee of this Note." (UMF 21; Escobar Decl. Ex. 1 at p.3.) As such, RCS and Mr. Taleb are still responsible for the entire indebtedness under the Note. (*Ibid.*)

As of March 26, 2024, the amount outstanding and due and owing under the Note is \$353,269.13, along with accrued interest of \$16,270.32, and late fees and costs in the amount of \$661.87. (UMF 15.) Chase has also incurred \$6,052.01 in attorneys' fees and \$1,430.17 in costs in attempting to recover the amounts due and owing. (UMF 16.) These amounts are also available to Chase pursuant to the Note and Guaranty. (*Ibid.*) In total, Chase seeks an award of \$377,683.50. (UMF 21.)

Standard

Summary judgment is proper if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc. § 437c(c).) The "moving papers must demonstrate that 'material facts' are undisputed and that the movant is entitled to judgment as a matter of law. (*Id.* at (b)(1), (c).) "The moving party's papers are strictly construed whereas those of the opposing party are liberally construed, with all doubts about the granting of the motion resolved in favor of the opposing party." (*Y.K.A. Industries, Inc. v. Redevelopment Agency of City of San Jose* (2009) 174 Cal.App.4th 339, 352.)

The party moving for summary judgment has the burden of persuasion to show there is no triable issue of material fact and thus it is entitled to judgment as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Only if the moving party successfully meets this burden does the burden shift to the opposing party to make its own prima facie showing of the existence of a triable issue of material fact. (*Ibid.*; see also *Chern v. Bank of America* (1976) 15 Cal.3d 866, 873.)

The moving party "bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.'" (*Id.* at 353 quoting *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850, italics in original.)

Initial Considerations

Separate Statement

Plaintiff's Opposition to Chase's Separate Statement is deficient on several fronts. First, the opposition separate statement must be in a two-column format wherein the first column sets out the moving party's undisputed facts set out "verbatim on the left side of the page, ***below which must be set out the evidence said by the moving party to establish that fact, complete with the moving party's references to exhibits.***" (Cal. R. Ct. 3.1350 (f)(1).) While the opposition separate statement includes Chase's undisputed facts, it fails to set forth the evidence Chase cited in support thereof. The failure to include this information not only violates Rule 3.1350 but also makes the Court's work significantly more time consuming.

Second, on the right side the opposing party must “unequivocally state whether that fact is ‘disputed’ or ‘undisputed.’” (Cal. R. Ct. 3.1350(f)(2).) “An opposing party who contends that a fact is disputed **must** state, on the right side of the page directly opposite the fact in dispute, the nature of the dispute and **describe the evidence that supports the position that the fact is controverted.**” (*Ibid.* emphasis added.) “Citation to the evidence in support of the position that a fact is controverted must include reference to the exhibit, title, page, and line numbers.” (*Ibid.*)

While Plaintiff’s opposition separate statement does indicate when facts are ‘disputed’ or ‘undisputed,’ it fails to cite any evidence to support his position when that the fact is ‘disputed.’

Third, if the opposing party “contends that additional material facts are pertinent to the disposition of the motion, those facts **must be set forth in the separate statement.**” (Cal. R. Ct. 3.1350(f)(3).)

Instead of including them in the separate statement, Plaintiff filed a separate document of ‘additional material facts.’ While having a separate document is a minor concern, the separate statement is also supposed to be in the two-column format and “[e]ach fact **must be followed by the evidence** that establishes the fact.” (*Ibid.*) Plaintiff’s additional material facts are not in the two-column format and do not cite any evidence.

“The separate statement ‘provides a convenient and expeditious vehicle permitting the trial court to hone in on the truly disputed facts.’” (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 252 (quoting *Collins v. Hertz Corp.* (2006) 144 Cal.App.4th 64, 74.)) “[T]rial courts have the inherent power to strike proposed ‘undisputed facts’ that fail to comply with statutory requirements and that are formulated so as to impede rather than aid an orderly determination whether the case presents triable material issues of fact.” *Reeves v. Safeway Stores, Inc.* (2004) 121 Cal.App.4th 95, 106.)

Analysis

Chase’s complaint includes a single cause of action for breach of contract – *i.e.* the Guaranty – against Defendant Talib. “The standard elements of a claim for breach of contract are ‘(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) damage to plaintiff therefrom.’” (*Wall Street Network, Ltd. v. New York Times Co.* (2008) 164 Cal.App.4th 1171, 1178, citations omitted.)

In an action such as this wherein the breach relates to a loan guarantee, the Bank is required to prove “the following elements: (1) the guarantor guaranteed payment of a third party’s indebtedness to the bank; (2) the third party defaulted on its loans to the bank; (3) the bank notified the guarantor of the default and demanded payment; and (4) the guarantor did not make payment to the bank.” (*Walsh v. West Valley Mission Community College Dist.* (1998) 66 Cal.App.4th 1532, 1546-47.)

Chase presents evidence of the Loan, including the signed Note and Guaranty. Chase performed by providing Defendant RCS with the \$400,000 available under the Loan, as evidenced by the Account History. While under the terms of the Note and Guaranty Mr. Taleb waived the right to receive notice of RCS’s default (UMF 19), Chase sent notice of the default to both Mr. Taleb and RCS on February 8, 2024. The Account History and Ms. Escobar’s declaration show that RCS stopped making payments by December 2023 – thereby defaulting on the terms of the Loan.

“A guaranty is unconditional unless its terms import some condition precedent to the liability of the guarantor.” (*Bank of America National Trust & Savings Assn.* (81 Cal.App.2d 1, 7.)) Here, the Guaranty

does not provide for any conditions precedent. As such, there are no conditions precedent and Mr. Taleb was liable for fulfilling his obligations as Guarantor when RCS defaulted.

Chase presents evidence that RCS failed to make payments under the Loan beginning in December 2023. To date, there is no evidence that RCS or Mr. Taleb have remedied the default. As such, Mr. Taleb is in default under the terms of the Guaranty.

Chase presents evidence, outlined above, which shows that the amount due and owing totals \$377,683.50. (UMF 21.)

Based on the above, Plaintiff Chase has met its initial burden to show that there is no triable issue of material fact and thus it is entitled to judgment as a matter of law. As such, the burden shifts to Defendant Mr. Taleb to make its own prima facie showing of the existence of a triable issue of material fact. (*Aguilar*, supra, 25 Cal.4th at 845.)

Opposition

Initially, as outlined above, Plaintiff has failed to properly dispute any of Plaintiff's material facts by failing to cite any evidence in support of his position. Plaintiff instead appears to argue that Defendant has failed to meet its initial burden by arguing that there are 'triable issues of fact' related to the Loan, the amounts due under the Loan, and the notice provided regarding the default.

As stated below, Defendant's objections to Plaintiff's evidence are overruled. Plaintiff has sufficiently authenticated the Bank's records via the declaration of its employee – Veronica Escobar, Special Credits Analyst I – who makes clear that her declaration is based on her "personal knowledge and [her] review of Chase's business records...." (Escobar Decl. ¶ 1.) She also declares that her job duties being responsible for managing the Loan. (*Id.* ¶ 2.) The records she reviewed were "created and maintained by Chase in the course of its regularly conducted business activities and were made at or near the time of the occurrence of the events they reflect, by or from information transmitted by a person with knowledge." (*Ibid.*)

"The business records exception requires a foundational showing that (1) the writing was made in the regular course of business; (2) at or near the time of the act, condition, or event; (3) the custodian or other qualified witness testifies to its identity and mode of preparation; and (4) the sources of information and mode and method and time of preparation indicate trustworthiness." (*Conservatorship of S.A.* (2018) 25 Cal.App.5th 438, 447.) "These requirements may be satisfied by affidavit." (*Ibid.*) The rule permits "any 'qualified witness' to establish [] the conditions of admissibility." (*Jazayeri v. Mao* (2009) 174 Cal.App.4th 301, 322.)

The evidence submitted by Chase sufficiently evidences the Loan and the payments (and lack of payments) thereunder.

Defendant also argues that there is a dispute as to the amount owed due in part to the payment made by the SBA. He argues that the fact there was such a payment "creates material factual disputes regarding whether the loan balance was properly reduced, whether all payments were credited correctly, and whether Plaintiff seeks an improper double recovery." (Opp. at 2:26-3:3.)

Chase addresses this issue in its opening papers. It explains that the Note specifically indicates that the Loan is guaranteed by the SBA, but that the Borrower "acknowledges and agrees that the Borrower's liability under this Note will continue with respect to any amounts SBA may pay Bank based on an SBA guarantee of this Note." It goes on to state:

"Any agreement with Bank under which SBA may guarantee this Note does not create any third party rights or benefits for the Borrower and, if SBA pays Bank under such

an agreement, SBA or Bank may then seek recovery from the Borrower of amounts paid by SBA.”

The Guaranty includes similar language. It also includes language confirming that “SBA is not a co-guarantor with [Taleb] and [Taleb] has no right of contribution from SBA.” This language makes clear that Defendant is still liable to Chase for the full amount of the Loan. If the Bank, however, recovers from Defendant it is then obliged to reimburse SBA for the amounts received.

Defendant also argues that he asserts several affirmative defenses and “Plaintiff has not presented evidence negating these defenses.” (Opp. at 3:23-25.) Defendant misunderstands that shifting burdens on a summary judgment motion. As the Code makes clear, a plaintiff has met its burden “of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Code Civ. Proc. § 437c(p)(1).) Once this has occurred, “the burden shifts to the defendant ... to show that a triable issue of one or more material facts exists as to the cause of action *or a defense thereto*.” (*Ibid.* emphasis added.) To meet this burden, the defendant “*shall* set forth the specific facts showing that a triable issue of material facts exists as to the ... defense thereto.” (*Ibid.*)

Defendant provides no evidence, nor any substantive legal argument, regarding any of its alleged affirmative defenses. The only ‘evidence’ that Defendant submits is his declaration. That declaration, however, does not provide any admissible facts to support any of Defendant’s arguments. It merely states that he “disputes” a several of Plaintiff’s facts but does not provide any facts to support his position. In addition, as Chase points out in reply, none of the affirmative defenses listed in Defendant’s opposition were actually pled in his Answer. “An affirmative defense must be alleged in the answer, or it is waived.” (*Green v. Healthcare Services, Inc.* (2021) 68 Cal.App.5th 407, 415.)

“Only *admissible evidence* is liberally construed in deciding whether there is a triable issue.” (*Fernandez v. Alexander* (2019) 31 Cal.App.5th 770, 779 italics in original.) “[R]esponsive evidence that gives rise to no more than mere speculation cannot be regarded as substantial and is insufficient to establish a triable issue of material fact.” (*Sangster v. Paetkau* (1998) 67 Cal.App.4th 151, 163.)

Defendant has failed to meet its burden to show there is a triable issue of material fact.

Evidentiary Issues

Plaintiff’s Objections:

“Each objection must be numbered consecutively” (Cal. R. Ct. 3.1354(b).) Plaintiff fails to number their objections. The Court will reference them in the order presented, i.e. objection 1 refers to the first objection stated, etc.

Objection 1: Overruled.

Objection 2: Overruled.

Objection 3: Overruled.

Objection 4: Overruled.

Objection 5: Overruled.

Objection 6: Overruled.

Objection 7: Overruled.

Objection 8: Overruled.

Objection 9: Overruled.

Objection 10: Overruled.

Conclusion

Based on the above, Plaintiff's Motion for Summary Judgment against Defendant Taleb is **granted**. Plaintiff is entitled to an award of \$377,683.50 against Defendant Taleb.

9. 9:00 AM CASE NUMBER: C24-02896
CASE NAME: STEVEN SMITH VS. DONALD IWUCHUKWU
HEARING ON MOTION IN RE: ORDER SETTING ASIDE DEFAULT RE: AURIN CANSON
FILED BY: CANSON, AURIN

TENTATIVE RULING:

Summary

Defendant Aurin Canson moves to set aside the default entered against him pursuant to Code of Civil Procedure § 473 (b). The motion is **granted**. Defendant has leave to file his answer (a proposed copy of which is attached as an exhibit to the Amended Notice of Motion) on or before July 20, 2026, as discussed below.

If the answer is not filed by that date, plaintiff may file a declaration as to that fact and the Court will set aside this ruling, leaving the default in place, and calendar a prove up hearing.

Background

Plaintiff obtained permission to serve Aurin Canson by publication and completed such service on August 28, 2025. Plaintiff filed proof on September 5, 2025. The Court clerk entered Canson's default on October 29, 2025. Although a default judgment was requested on December , and although various declarations were submitted, no judgment against Canson has been entered at this time.

On April 23, 2026, Canson filed this motion to set aside his default. In support of the motion, he declares that he was not aware of the case or that his default had been taken until December of 2025.

The opposition contends Canson waited an unreasonably long time to seek relief from default, and that his request should therefore be denied. The opposition contends Canson is being misled and taken advantage of by his "fraudster-forger-felon" attorneys. Plaintiff also argues Canson had constructive notice of this suit because his co-defendants were representing him in other matters.

Standard

Code of Civil Procedure, § 473 (b) states, in relevant part,

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.

Code of Civil Procedure section 473 is a remedial statute to be "applied liberally" in favor of relief if the opposing party will not suffer prejudice. The law strongly favors trial and disposition on

the merits. “Unless inexcusable neglect is clear, the policy favoring trial on the merits prevails.” (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 24, quoting *Elston v. City of Turlock* (1985) 38 Cal.3d 227, 235). Where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted, “very slight evidence will be required to justify a court in setting aside the default.” (*Murray & Murray v. Raissi Real Estate Development, LLC* (2015) 233 Cal.App.4th 379, 385.) To qualify for discretionary relief, the moving party must submit affidavits or testimony demonstrating a reasonable cause for the default. (*Id.*)

To the extent the evidence is in conflict, it must be construed in light of the policy favoring trial on the merits. “Because the law favors disposing of cases on their merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 980, citations omitted.)

Discussion

There is no dispute that plaintiff here served Canson by publication. There is only speculation as to what Canson’s attorneys actually told him about the suit, if anything. Further, Canson points out that plaintiff knew at all times where he lived because plaintiff was simultaneously prosecuting a forcible detainer action against Canson and could have attempted service at the subject address.

Defendant here has submitted his own declaration under penalty of perjury which denies having had notice of the lawsuit in time to respond. Further, he provides an excuse for the delay after he learned about this suit. Specifically, Canson claims to be homeless, unable to provide the required address to current counsel, who requested an address in order to sub into the case pursuant to a limited scope representation agreement. Canson claims, albeit somewhat coincidental at best, that defendant Iwuchukwu “finally” permitted Canson to use his mailing address in April 2026, when this motion was filed and just prior to the six-month deadline to file this motion (May 2026).

On reply, while Canson points to the plaintiff’s obligation to mail the Summons, Complaint, and Order for Publication if Canson’s address was ascertained, the argument is unpersuasive. It appears that not even Canson knew his mailing address and that is the very basis for the delay in filing this motion from December 2025 to April 2026. As for Canson’s contention that he should have been served personally in Court in September of 2025, the argument is not necessary to the outcome.

This motion is based on surprise, inadvertence, or excusable neglect, and it was filed prior to the expiration of six months from the date default was taken (December 8, 2025). While it is certainly possible that Canson is being misled and taken advantage of, the attorney making this motion on behalf defendant Canson is not among those attorneys accused of wrongdoing (even assuming the Court could accept as true the assertions made in the opposition papers). Canson is simply more likely to be capable of defending himself if the default is set aside and he has sought relief requesting such opportunity. No judgment has been entered and the policy in favor of disposing of cases on their merits takes precedence over any policy favoring finality of judgments.

Accordingly, the motion must be granted.

10. 9:00 AM CASE NUMBER: C25-00251
CASE NAME: INTREPID INVESTORS, LLC VS. WEI SHI
HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED COMPLAINT
FILED BY: INTREPID INVESTORS, LLC

TENTATIVE RULING:

Summary: Plaintiff Intrepid Investors Inc's Motion for Leave to file First Amended Complaint is **granted** as unopposed. The Court will execute the proposed order lodged on February 26, 2026. Plaintiff is ordered to file and serve the First Amended Complaint no later than ten (10) days from the date of the hearing. No appearance is required at the hearing on July 8, 2026.

11. 9:00 AM CASE NUMBER: C25-01690
CASE NAME: SHIMMICK CONSTRUCTION COMPANY, INC. VS. CITY OF ANTIOCH
HEARING ON MOTION IN RE: ORDER DESIGNATING CASE COMPLEX UNDER CRC 3.400
FILED BY: CITY OF ANTIOCH

TENTATIVE RULING:

ORDER OF RECUSAL AND REASSIGNMENT

Currently set for hearing on July 8, 2026, is Defendant City of Antioch's Motion for an Order designating this case as complex under California Rule of Court 3.400. Having reviewed the filings and record herein, the Court makes the following findings and orders:

FINDINGS

This matter is currently assigned to Judge Leonard Marquez, Department 34, for all purposes. No hearings have been conducted in this matter before Department 16, the Honorable Benjamin T. Reyes II.

As supervising judge of the civil division, Judge Reyes is assigned to hear all motions to designate cases as complex under Rule 3.400. Upon review of this motion, the Court notes that Defendant and Moving Party, City of Antioch, is represented by Meyers Nave Riback Silver & Wilson, A Professional Corporation ("Meyers Nave" or "Firm"), and by Judge Reyes' former law partner, Douglas M. McManamon, Esq. (the term "partner" being used herein as a term of art, as Meyers Nave is a professional corporation).

Judge Reyes makes the following disclosures and, pursuant to Code of Civil Procedure section 170.3, subdivision (a), recuses himself as follows:

Prior to his appointment to the Superior Court in 2017, Judge Reyes was an equity shareholder of Meyers Nave. Since June 2025, Judge Reyes has been a participant in the Firm's non-qualified deferred compensation and retirement plan. Judge Reyes receives annual distributions from the Firm's deferred compensation plan, which constitutes a financial interest pursuant to Code of Civil Procedure section 170.5, subdivisions (a) and (b).

Mr. McManamon, also Judge Reyes' former law partner, is appearing as counsel for the Moving Party.

Under Code of Civil Procedure section 170.1, subdivision (a)(6)(A)(iii), such a relationship may lead a reasonable litigant to entertain doubt regarding the judge's ability to remain impartial.

In light of these disclosures and in accordance with applicable law, Judge Reyes recuses himself from presiding over any hearings in this case to preserve the integrity of the judicial process.

ORDER

NOW, THEREFORE, IT IS HEREBY ORDERED THAT:

1. The Honorable Benjamin T. Reyes II recuses himself from presiding over the above-captioned motion pursuant to Code of Civil Procedure section 170.3;
2. This motion is reassigned to the Honorable Leonard Marquez, Department 34, for all purposes;
3. This motion will be heard in Department 34 on August 3, 2026, at 9:00 a.m. The hearing previously scheduled for July 8, 2026, in Department 16 is vacated. No appearance is required for the vacated hearing date;
4. The parties shall receive notice of the new hearing date from the Court Clerk's Office; and
5. Moving party shall also give notice of the continuance to Plaintiff.

IT IS SO ORDERED.

12. 9:00 AM CASE NUMBER: C25-01821
CASE NAME: JAMES BIDWELL VS. DOROTHY GALLOWAY
HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL AS TO JAMES BIDWELL
FILED BY: BIDWELL, JAMES

TENTATIVE RULING:

Summary

Withdrawing Counsel Gunter Mihaescu, attorney for Plaintiff James Bidwell, filed a Motion to be Relieved as Counsel. Good cause appearing, the motion is **granted**. The Court further orders that this action be dismissed without prejudice as forth herein.

Background

In this action, Plaintiff James Bidwell alleges that on or about June 29, 2023, Defendant Dorothy Galloway requested Plaintiff's assistance with sanitation and cleaning, during which Plaintiff alleges he was exposed to Shigella bacterium, resulting in illness.

On May 15, 2026, Withdrawing Counsel filed a Motion to be Relieved as Counsel. Withdrawing Counsel supports the motion with a declaration stating there has been a breakdown in

communication rendering effective representation unreasonably difficult. Withdrawing Counsel further represented in open court on November 18, 2025 that he had lost contact with his client.

Analysis

California Rule of Court 3.1362 and Code of Civil Procedure section 284, subdivisions (1) and (2), set forth the standard and procedure for relief of counsel. The Code permits an attorney to withdraw "upon the consent of both client and attorney," or "upon order of the court, upon the application of either client or attorney, after notice from one to the other." Withdrawing Counsel has complied with these provisions, providing notice to Plaintiff and supporting this motion with a declaration articulating the reasons for withdrawal.

The Court finds good cause to grant the motion. The prejudice to Plaintiff is minimal given his lack of cooperation with counsel and failure to maintain contact. Because Plaintiff has failed to diligently prosecute this action and lacks counsel of record, dismissal is appropriate under Code of Civil Procedure section 581(b)(1).

Ruling

After reviewing the papers submitted and weighing the prejudice to both parties, the Court finds good cause to grant the Motion to be Relieved as Counsel. It is hereby ordered as follows:

1. The Motion to be Relieved as Counsel is **granted**.
2. The Court will execute the Proposed Order Granting Attorney's Motion to be Relieved as Counsel (Judicial Council Form MC-053) filed on May 15, 2026. Withdrawal is effective immediately upon entry of this order.
3. Within 10 days of the date of this order, Withdrawing Counsel shall serve a copy of the executed Order (Form MC-053), attaching a copy of this ruling, on Plaintiff by mail at his last known address and shall provide Plaintiff with blank forms for Notice of Change of Address (MC-040) and Application for Waiver of Court Fees and Costs (FW-001).
4. Withdrawing Counsel shall file a proof of service demonstrating compliance with paragraph 3 within 15 days of the date of this order.
5. This action is **dismissed** without prejudice pursuant to section Cal. Code of Civ. Proc. 581(b)(1).
6. No appearance is required at the hearing currently scheduled for July 8, 2026.

13. 9:00 AM CASE NUMBER: C25-01863
CASE NAME: DARON OLIVER VS. SELINA CHEUNG
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: FEN GUAN, HUAN

TENTATIVE RULING:

This hearing is vacated by stipulation of counsel. No appearance is required at the hearing on July 8, 2026.

14. 9:00 AM CASE NUMBER: C25-01863
CASE NAME: DARON OLIVER VS. SELINA CHEUNG
HEARING ON MOTION IN RE: STRIKE 1ST AMENDED COMPLAINT
FILED BY: FEN GUAN, HUAN

TENTATIVE RULING:

This hearing is vacated by stipulation of counsel. No appearance is required at the hearing on July 8, 2026.

15. 9:00 AM CASE NUMBER: C25-03683
CASE NAME: TEMI STEWART VS. GREYSTAR REAL ESTATE PARTNERS, LLC
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: GREYSTAR REAL ESTATE PARTNERS, LLC

TENTATIVE RULING:

This hearing is **vacated**. Plaintiff filed a First Amended Complaint on June 24, 2026. No appearance is required at the hearing on July 8, 2026.

16. 9:00 AM CASE NUMBER: MS5031
CASE NAME: PETITION OF: PARAQUAT CASES
HEARING ON MOTION IN RE: TO BE RELIEVED AS COUNSEL
FILED BY: BEMAN, STEVE

TENTATIVE RULING:

Summary

Curtis Hoke, who is Counsel for Plaintiff Steve Beman, filed a Motion to be Relieved as Counsel on January 9, 2026. The Motion is **granted** as set forth herein.

Background

The California Paraquat lawsuits allege that Defendants Syngenta and Chevron Phillips Chemical Company knew or should have known that chronic exposure to Paraquat, a toxic herbicide used in agriculture, significantly increases the risk of developing Parkinson's disease, yet failed to adequately warn users, regulators, or the public.

On January 9, 2026, Curtis Hoke, ("Withdrawing Counsel") who is Counsel for one of the Plaintiffs,

Steve Beman, filed a Motion to be Relieved as Counsel. Withdrawing Counsel supports his motion with a declaration claiming that Plaintiff and counsel have irreconcilable differences, and continuing representation is not feasible under these circumstances. Plaintiff did not consent to his withdrawal.

Analysis

Cal. Rules of Court Rule No. 3.1362 and Cal. Code of Civ. Proc. §§284(1) and (2) sets forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination “upon the consent of both client and attorney,” or “upon order of the court, upon the application of either client or attorney, after notice from one to the other.” Defendant’s Counsel has complied with the provisions of this rule and statute providing notice to Plaintiff and supporting this motion with a declaration articulating the reasons for withdrawal.

The Court finds that there is good cause to grant this Motion to relieve Withdrawing Counsel. The Court acknowledges that the prejudice to Defendants is minimal, as there is ample time for Defendants to retain new trial counsel before the Case Management Conference set for November 19, 2026 at 8:30 a.m.

Ruling

After reviewing the papers submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of Withdrawing Counsel to be Relieved as Counsel of Record. The Court makes the following orders:

1. This motion is **granted**.
2. The Court will execute the Proposed Order Granting Attorney’s Motion to be Relieved as Counsel (Judicial Council Form MC-053) as lodged on January 9, 2026. The withdrawal is effective immediately.
3. Withdrawing Counsel is ordered to serve a copy of the Order (MC-053) to Plaintiff by mail at his last known address, along with a change of address form, Judicial Council Form MC-040, instructing the client to fill out and file the change of address form with the Court.
4. The Court confirms the further case management conference on November 19, 2026 at 8:30 a.m. Withdrawing Counsel is ordered to provide notice to Plaintiff of this CMC, and to inform Defendants that they are ordered to appear remotely via Zoom.
5. Withdrawing counsel shall file a proof of service form indicating that the client was served with the Court’s Order (MC-053) and the Change of Address form (MC-040).

17. 9:00 AM CASE NUMBER: MSC21-02445
CASE NAME: NIST VS FARRELL
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: NIST, WILLIAM G
TENTATIVE RULING:

Summary

On April 1, 2026, Plaintiffs and Cross-Defendants William Nist and Mari Nist (herein referred to as "Cross-Defendants") filed a demurrer to the First Amended Cross-Complaint (herein referred to as "FAXC") filed by Defendant Cross-Complainant Shanna Farrell ("Farrell"). The Demurrer challenges the FAXC causes of action for: (1) Negligence and (2) Negligence (Tort of Another).

Farrell did not timely oppose this demurrer. Therefore, Cross-Defendants demurrer to FAXC filed by Farrell is **sustained without leave to amend.**

Analyses

Cross-Defendant's Demurrer to the FAXC filed by Farrell was filed on April 1, 2026. The hearing was originally calendared for September 23, 2026. On June 5, 2026, the Court granted an order shortening time for the hearing of this Demurrer, setting the hearing for July 8, 2026.

Pursuant to Cal. Code of Civ. Proc. § 1005(b), "all papers opposing a motion shall be filed with the court and copy served on each party at least nine court days... before the hearing." Nine (9) court days before the hearing is June 24, 2026. Farrell did not file a timely opposition. On June 25, 2026, Cross-Defendants' counsel filed a "reply" brief noting that Shanna Farrell did not file and serve a timely opposition to the demurrer.

California courts recognize that a party's failure to file opposition supports treating the motion as unopposed and may be construed as a concession/abandonment of any argument against the requested relief. See e.g., *Sexton v. Superior Court* (1997) 58 Cal. App. 4th 1403, 1410 (noting local rule providing that failure to timely file opposition "creates an inference that the motion or demurrer is meritorious"); *Herzberg v. County of Plumas*, (2005) 133 Cal. App. 4th 1, 20 (failure to oppose may be construed as abandonment of the issues). Indeed, in this Court, "[f]ailure to comply with the requirements concerning filing and serving opposing and reply papers may, in the discretion of the court, be deemed cause for acting on the matter without consideration of the document filed in violation of requirements and may be deemed cause for imposing sanctions." See

<https://contracosta.courts.ca.gov/divisions/civil/motions-and-hearings>.

Ruling

1. The Court **sustains** the Demurrer to the FAXC without leave to amend.
2. The Court will execute the proposed order lodged on April 1, 2026, and will direct the clerk of the court to attach a copy of this tentative ruling.

Discovery Law & Motion

18. 9:01 AM CASE NUMBER: C23-01280

CASE NAME: LAURIE MIMS VS. GWEN BERTOLAMI LYSONS

HEARING ON MOTION FOR DISCOVERY ORDER DEEMING REQUESTS FOR ADMISSION ADMITTED AGAINST GWEN BERTOLAMI LYSONS

FILED BY:

TENTATIVE RULING:

This tentative ruling is for Lines 18 and 19. This hearing on these discovery motions was continued from June 3, 2026 to July 9, 2026 to allow counsel to meet and confer to resolve the discovery disputes. Counsel are ordered to appear remotely via Zoom to advise the Court about the status of these discovery disputes.

19. 9:01 AM CASE NUMBER: C23-01280

CASE NAME: LAURIE MIMS VS. GWEN BERTOLAMI LYSONS

HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES AND PRODUCTION OF DOCUMENTS TO GWEN BERTOLAMI LYSONS

FILED BY:

TENTATIVE RULING:

See Line 18, above.

20. 9:01 AM CASE NUMBER: C25-00677

CASE NAME: MARIEL HERNANDEZ VS. FORD MOTOR COMPANY

HEARING ON MOTION FOR DISCOVERY TO COMPEL FURTHER RESPONSES TO PLAINTIFFS REQUEST FOR PRODUCTION OF DOCUMENTS, SET ONE

FILED BY: HERNANDEZ, MARIEL

TENTATIVE RULING:

Summary

Plaintiff Mariel Hernandez's Motion to Compel Further Responses to Plaintiff's Request for Production of Documents, Set One, is **denied** for failure to comply with mandatory meet-and-confer requirements.

Background

This action arises under the Song-Beverly Consumer Warranty Act. Plaintiff Mariel Hernandez ("Plaintiff") seeks statutory remedies for alleged defects in a 2020 Ford Transit Connect purchased from Defendant Ford Motor Company ("Defendant"). On December 10, 2025, Plaintiff served Requests for Production of Documents, Set One. Defendant responded on January 14, 2026. Plaintiff contends these responses are non-compliant, contain only boilerplate objections, and violate the

Discovery Act and governing authority.

Plaintiff asserts she "met and conferred" by sending written correspondence. As discussed below, the parties failed to satisfy the statutory meet-and-confer requirements.

Analyses

This Court maintains that discovery motions in consumer warranty cases are overused and should be discouraged, absent genuine noncompliance. Counsel are advised to consider carefully whether filing such motions is truly warranted. "Motions to compel should be considered a last resort when trying to prepare a case for trial." California Civil Discovery Practice (4th ed., CEB) § 15.32[C].

Moreover, "trial courts generally have little tolerance for discovery motions because of a perception that the parties ought to be able to resolve many, if not most, discovery disputes without judicial intervention. But because legitimate discovery disputes do exist, motions to compel are sometimes justified. If a motion to compel becomes necessary, counsel should understand that busy trial courts will not often be able to spend much time analyzing complex discovery disputes." California Civil Discovery Practice (4th ed., CEB) § 15.38.6.

The obligation to meet and confer prior to filing any discovery motion is mandatory. Parties must engage in a reasonable and good faith attempt to informally resolve discovery disputes. See Cal. Code Civ. Proc. § 2016.040; *Golf & Tennis Pro Shop, Inc. v. Superior Court* (2022) 84 Cal.App.5th 127, 138. Contra Costa County Superior Court Local Rule 2.121(e) imposes the same requirement. Additionally, Local Rule 2.122(c) provides that motions "should be filed sparingly, in good faith and when the issue(s) cannot be otherwise resolved."

Cal. Code Civ. Proc. § 2016.040 requires, at minimum, that attorneys **confer in person, by telephone, or by video conference to informally resolve disputes**. [Emphasis added] Written correspondence inviting opposing counsel to "call me if you should have any further questions or comments" or, in this case, giving opposing counsel one week to respond before filing a motion, is insufficient. See *Obregon v. Superior Court* (1998) 67 Cal.App.4th 424, 429, 431-433. Applied here, Plaintiff's counsel sent written correspondence dated January 19, 2026, as her sole effort to meet and confer. This letter, without any telephonic or video conference discussion as required by statute, fails to satisfy the statutory mandate.

Because Plaintiff and Defendant did not comply with the strict requirements of Cal. Code Civ. Proc. § 2016.040, the motion is **denied**. The Court need not, and does not, reach the merits of the responses and objections where counsel has failed to satisfy this fundamental statutory prerequisite.

Ruling

1. Plaintiff's Motion to Compel Further Responses is **denied**.
2. Defendant shall prepare and electronically file a proposed order conforming to this ruling, attaching a copy of this tentative ruling, no later than five (5) days from the date of the hearing.
3. Counsel are admonished to strictly comply with the meet-and-confer requirements of Cal. Code Civ. Proc. § 2016.040 for the discovery motion currently calendared for August 5, 2026.

Courtroom Clerk's Session
Add On

21. 9:01 AM CASE NUMBER: C25-03586

CASE NAME: ED PENNING VS. FAIRWAY INDEPENDENT MORTGAGE CORPORATION

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: FAIRWAY INDEPENDENT MORTGAGE CORPORATION

TENTATIVE RULING:

Before the Court is Defendant Fairway Independent Mortgage Corporation's ("Fairway" or "Defendant") demurrer. The demurrer relates to Plaintiff Ed Penning's ("Plaintiff" or "Mr. Penning") Complaint for (1) violation of the California Invasion of Privacy Act ("CIPA"), Penal Code section 631; (2) violation of CIPA, Penal Code section 632; (3) violation of CIPA, Penal Code section 638.51; (4) breach of contract; and (5) violation of California's Unfair Competition Law ("UCL"), Business and Professions Code section 17200.

Defendant demurs to all five causes of action in Plaintiff's Complaint pursuant to Code of Civil Procedure section 430.10(e) on the grounds that each fails to state facts sufficient to constitute a cause of action. Defendant further contends that (1) Plaintiff's "expansive" interpretation of CIPA is not supported by the statute's plain language; (2) Plaintiff consented to Defendant's privacy policy and the privacy policies of Meta and Yahoo, which precludes each of Plaintiff's CIPA claims; and (3) breach of contract is not supported because Plaintiff failed to allege the required elements of breach of contract, there has been no CIPA violation, and Plaintiff is unable to allege that he lost money or property stemming from Defendant's alleged conduct.

Plaintiff opposes Defendant's demurrer on the grounds that (1) Plaintiff did not consent to Defendant's use of third-party trackers; (2) Plaintiff sufficiently alleged his claim for violation of Penal Code section 631 in that third-party trackers read Plaintiff's in-transit communications and Defendant aided the third-party trackers; (3) Plaintiff adequately alleged his claim for violation of Penal Code section 632; (4) Plaintiff's pen register claim was properly pled; (5) Defendant breached its contract with Plaintiff and the class; and (6) Defendant's conduct constitutes unfair business practices.

For the following reasons, Defendant's demurrer is **OVERRULED IN PART AND SUSTAINED IN PART**.

Plaintiff has 15 days from the date of entry of this order to file and serve any amended pleading.

I. Request for Judicial Notice

Defendant requests judicial notice of five exhibits pursuant to Evidence Code sections 452(h) and 453, and because Defendant contends they are incorporated by reference in the Complaint:

- (a) a print-out of the “Start Your Mortgage Process” accessible on Fairway’s website (https://www.fairway.com/start-here/purchase-or-refinance?utm_content=getStartedButton&page_refer=/) after navigating to the “Get started” button on Fairway’s homepage;
- (b) a print-out of Fairway’s Terms of Use/Terms of Service webpage accessible on Fairway’s website (<https://www.fairway.com/legal/terms-of-use>) from the “Start Your Mortgage Process” webpage by clicking the hyperlink for “Terms of Service” and through Fairway’s homepage;
- (c) a print-out of Fairway’s “Privacy Policy webpage” accessible on Fairway’s website (<https://www.fairway.com/legal/privacy-policy>) from the “Start Your Mortgage Process” webpage by clicking the hyperlink for “Privacy Policy” and through Fairway’s homepage;
- (d) a print-out of the “Welcome to the Yahoo Privacy Policy” webpage (<https://legal.yahoo.com/us/en/yahoo/privacy/index.html>); and
- (e) a printable version of Meta’s Privacy Policy (<https://www.facebook.com/privacy/policy>).

(Defendant’s Request for Judicial Notice Filed in support of Demurrer to Complaint (“Def. RJN”) at 2:11-3:9.)

Plaintiff objects to judicial notice of exhibits D and E and does not object to exhibits A through C. (Objection to: def RJN and plaintiff’s RJN (“Plaintiff’s RJN & Objections”) at 2:9-11.) Plaintiff also requests judicial notice of seven exhibits depicting Defendant’s homepage and the successive screens of the “Start Your Mortgage Process” form, to which Defendant objects in part. (*Id.* at 2:12-3:23.)

In ruling on a demurrer, a court may consider facts of which it has taken judicial notice. (Code Civ. Proc., § 430.30(a).) Pursuant to Evidence Code section 452(h) the Court may take judicial notice of “[f]acts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy.” (Evid. Code, § 452(h).) Written documents that are the foundation of an action and are attached to the complaint and incorporated therein by reference become a part of the complaint and may also be considered on demurrer. (*City of Pomona v. Superior Court* (2001) 89 Cal.App.4th 793, 800.)

Although the *existence* of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable.

(*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

The Court **GRANTS** Defendant’s unopposed request for judicial notice as to exhibits A, B, and C, and

GRANTS Plaintiff's request as to exhibits 1 through 7. These materials consist of pages from Defendant's own website, the existence and content of which are not reasonably subject to dispute, and to which Plaintiff refers in the Complaint. (See Initial Complaint Filed ("Compl.") at 4, fn. 4; 8, fn. 6.)

Fairway objects to Mr. Penning's exhibits two through seven on the ground that Mr. Penning does not establish when or how the screenshots were obtained or that they reflect the version of the website that existed when he visited it. (Response to Plaintiff's Objections to Defendant's Request for Judicial Notice ("Def. Obj.") at 2:25-28.) That objection is overruled as a basis to decline notice, but the concern it raises is well taken and the Court accounts for it in the scope of its notice: the Court takes judicial notice only of the existence and content of these exhibits, but not of the truth of any disputed matter asserted therein or of any contested inferences as to what Plaintiff encountered during his visit to the website. This limitation applies equally to Defendant's Exhibit A and to Plaintiff's Exhibits one through seven, neither of which bears a date contemporaneous with Plaintiff's alleged visit as Plaintiff does not allege a date.

The Court **DENIES** Defendant's request as to exhibits D and E. The privacy policies of third parties, Yahoo and Meta, are not statutes, official records, or matters of common knowledge, and Plaintiff disputes their authenticity and applicability. (See Evid. Code, § 452.) That information appears on the internet does not render it free from reasonable dispute. (*Huitt v. Southern California Gas Co.* (2010) 188 Cal.App.4th 1586, 1605, fn. 10.) Nor are these policies incorporated by reference into the Complaint, which refers to Plaintiff's use of social media platforms but does not rely on or quote their privacy policies. (Compl. at 14:6-12.) Exhibits D and E are not properly subject to judicial notice.

II. Factual Allegations

This case arises out of Plaintiff's allegations that a mortgage company violated consumers' privacy by failing to honor website visitors' decisions to opt out of cookies.

Plaintiff Ed Penning alleges he accessed Defendant Fairway Independent Mortgage Corporation's website (www.fairway.com) seeking a quote for a home mortgage loan using his laptop computer from his home in El Cerrito, California. (Compl. at 1:9, 13:17-18.) Mr. Penning's Complaint does not specify when he accessed Defendant's website.

Plaintiff's Complaint alleges that a visitor to www.fairway.com is immediately met with a pop-up banner overlayed on all pages of the website that "persists on every page unless and until the user interacts with it" by selecting either "I accept" or "I decline." (Compl. at 8:10-14.) The banner reads as follows:

We use cookies and other tracking technologies to improve your browsing experience on our website, to show you personalized content, to analyze our website traffic, and to understand where our visitors are coming from. [View our full cookie policy here.](#)

(Compl. at 8:6-7, 15-24 (emphasis in original).)

The “[View our full cookie policy here.](#)” text is a hyperlink that takes the user to Fairway’s “Cookie Policy.” (Compl. at 8:13-14. 25-26.) Fairway’s Cookie Policy is part of a broader webpage entitled “Privacy Policy,” which is organized into four subdivisions entitled: (1) “PRIVACY POLICY -- Read about the type of data we collect and how we use it[;]” (2) “COOKIE POLICY – Learn how we use cookies to improve your website experience[;]” (3) “WHAT DOES FAIRWAY DO WITH MY INFORMATION[;]” and (4) “THE CALIFORNIA CONSUMER PRIVACY ACT.” (Def. RJN, Ex. C at 1.)

The Cookie Policy defines cookies as follows:

Cookies are small pieces of text. They are provided by most websites and stored by your web browser on the computer, phone, or other device that you are using. Cookies serve many purposes. They can help a website remember your preferences, learn which areas of the website are useful and which areas need improvement, and provide you with targeted advertisements or personalized content. Sometimes, cookies are enabled when pixels are placed on a website. Pixels are also referred to as web beacons, clear gifs, and tags. They enable websites to read and place cookies.

(Def. RJN, Exhibit C at 10.)

The Cookie Policy explains that Defendant’s website uses both first and third-party cookies of the following varieties: Strictly Necessary Cookies, Performance Cookies, Functional Cookies, Targeting Cookies and Social Media Cookies. (Def. RJN, Exhibit C at 12.)

In a separate subdivision of the same webpage under the heading “PRIVACY POLICY,” Defendant states that

[Fairway’s] system logs may record certain information about visitors to our Sites, including the web request, Internet Protocol (“IP”) address, device and mobile ad identifiers, browser information, interaction with the Sites, pages viewed, app usage, and other such information; we may collect similar information from emails you receive from us that can help us track which emails are opened and which links are clicked by recipients.

(Def. RJN, Exhibit C at 2-3.)

In the subdivision addressing the California Consumer Privacy Act, Fairway states that it gathers this information using cookies and directly from the user during the course of filling out a mortgage application or as the company services their mortgage loan. (Def. RJN, Exhibit C at 21-22.) In that same subdivision, Fairway also states that the company does not sell users’ personal information. (*Id.*, Exhibit C at 21.)

The Complaint alleges however that “[e]ven after visitors click ‘I decline’ on the cookie banner, Defendant installs, at minimum, the following third-party trackers and cookies on the visitors’

browsers as they navigate Defendant's website. ... (a) Verisk Marketing Solutions' (a/k/a Jornaya)'s "leadID," "uuid," "rguuid," and "rguserid" cookies[;] (b) DoubleClick's "IDE" cookie[;] (c) YouTube's "YSC" cookie[;] (d) Google's "NID" and "AEC" cookies[;] [and] (e) AdTheorent's "barometric[cuid]" cookie." (Compl. at 9:13-22.)

The Complaint further alleges that these third-party trackers and cookies operate by means of the HTTP "GET" and "POST" requests exchanged between a visitor's browser and Defendant's servers, such that when a visitor loads a page or enters information into a form, the trackers "instantaneously intercept and duplicate communications sent between the visitor's browser and the website's server." (Compl. at 5:13-5:28, 6:23-7:8.) Plaintiff alleges that the trackers transmitted each of the visitor's actions to the Third Parties "alongside and contemporaneously with the user initiating the communication[,]" and that the communication was therefore "intercepted in transit to the intended recipient (Defendant) before they reached Defendant's servers." (*Id.* at 21:4-7.)

When Mr. Penning accessed Defendant's website and was presented with the cookie banner, he alleges that he selected "I decline." (Compl. at 14:3-5.) In the course of applying for a home mortgage loan on www.fairway.com, Mr. Penning alleges that he "followed the application flow on Defendant's website" and that when he filled out the application, Fairway collected the following information from him: his first and last name, his email address, his phone number, the amount of the mortgage loan he sought, his credit score, his zip code, the type of home he sought to finance, and whether the home was his primary residence. (*Id.* at 13:19-14:2.)

Mr. Penning alleges in his Complaint that he reasonably expected that his online communications with Fairway were "confidential, solely between himself and Defendant, and that, as such, those communications would not be transmitted to or intercepted by a Third Party." (Compl. at 14:13-15.)

He further alleges in his Complaint "on information and belief" that Defendant disclosed the following information collected from his loan application and through cookies and tracking technology to third parties: the pages and content he viewed, the fact that he was seeking a mortgage, the specific mortgage products for which he sought a quote, his first and last name, his email address, his phone number, the amount of the mortgage loan he sought, his credit score, his zip code, the type of home he sought to finance, whether the home was his primary residence, and "additional identifying information unique to Plaintiff, including his IP address and unique identifying cookies set by Third Parties." (*Id.* at 14:23-15:11.)

The Complaint alleges that Fairway profited from collecting and disclosing Mr. Penning's personal information:

...through one or more mechanisms, as-yet unknown to Plaintiff, which include: (1) increased payments from the placement of ads on Defendant's website, (2) direct payments from Third Parties, (3) free or reduced cost for services, including services related to the implementation and monitoring of Defendant's website, and/or (4) the ability to purchase ad space on other websites at a reduced price

or at a greater value for the same price[.]

(Compl. at 16:1-6.)

Finally, Mr. Penning alleges that because Fairway “actively concealed its use of cookies and trackers by providing an illusory opt-out function that did not, in fact, accomplish an opt-out[.]” the applicable statutes of limitations have been tolled. (Compl. at 16:12-13.)

On December 4, 2025, Plaintiff filed this class action complaint alleging CIPA violations under Penal Code sections 631, 632, and 638.51, as well as breach of contract, and violation of California’s Unfair Competition Law under Business and Professions Code section 17200.

III. Meet and Confer

Prior to filing a demurrer, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading subject to demurrer at least five days before the date a responsive pleading is due. (Code Civ. Proc., § 430.41.) Defendants met their statutory burden when they met telephonically with Plaintiff’s counsel on February 13, 2026, to discuss the substance of Defendant’s objections as further stated in the instant demurrer. (Declaration of Justin Penn in support of Demurrer to Complaint (“Penn Dec.”) at 2:11-13.)

IV. Legal Standard

“A demurrer tests the sufficiency of the complaint by raising questions of law.” (*Schmidt v. Foundation Health* (1995) 35 Cal.App.4th 1702, 1706.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations. (*Los Altos Golf & Country Club v. County of Santa Clara* (2008) 165 Cal.App.4th 198, 203; *Evans v. City of Berkeley* (2006) 38 Cal.4th 1, 6.) “[T]he question of plaintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) “[D]emurrer [is not] the appropriate procedure for determining the truth of disputed facts or what inferences should be drawn where competing inferences are possible.” (*CrossTalk Productions, Inc. v. Jacobson* (1998) 65 Cal.App.4th 631, 635.)

“Plaintiff may allege on information and belief any matters that are not within his personal knowledge, if he has information leading him to believe that the allegations are true.” (*Pridonoff v. Balokovich* (1951) 36 Cal.2d 788, 792.)

The complaint must be “liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc. § 452.) “[I]f it appears that the plaintiff is entitled to any relief against the defendant,

the complaint will be held good, even though the facts may not be clearly stated.” (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 896.) Regardless of whether a Plaintiff has requested leave to amend, it is an abuse of discretion to sustain a demurrer to an initial complaint without leave to amend unless the complaint shows on its face that it is incapable of amendment. (*Cabral v. Soares* (2007) 157 Cal.App.4th 1234, 1240; *Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 411.)

V. Analysis

A. Consent Does Not Defeat the Complaint at the Pleading Stage

Fairway’s principal argument is that Plaintiff consented to the transmission of his information to third parties, and that this consent defeats every cause of action. (Demurrer to Complaint (“Dem.”) at 12:1-3.) Fairway is correct that each of Plaintiff’s California Invasion of Privacy (“CIPA”) claims requires conduct undertaken without consent. (*Id.* at 12:4-12; *See* Pen. Code, §§ 631(a), 632, 638.51(b)(5).) Consent, however, does not support sustaining the instant demurrer, because it presents a factual question that cannot be resolved against Plaintiff on the pleadings.

A demurrer tests the legal sufficiency of the complaint and admits the truth of all properly pleaded material facts. (*Schmidt, supra*, 35 Cal.App.4th at 1706; *Blank, supra*, 39 Cal.3d at 318; *Los Altos Golf & Country Club, supra*, 165 Cal.App.4th at 203; *Evans, supra*, 38 Cal.4th at 6.) Whether the plaintiff can later prove those facts is irrelevant to the reviewing court. (*Alcorn, supra*, 2 Cal.3d at 496.)

Here, the Complaint does not plead consent, it pleads its absence. (Compl. at 14:3-5.) Plaintiff alleges that he was presented with the cookie banner, that he clicked “I decline” for the specific purpose of refusing the tracking he now challenges, and that Fairway deployed third-party trackers and cookies notwithstanding his declination. (*Id.* at 14:3-5, 14:23-15:11.) These allegations, taken as true (as they must be on demurrer), establish the opposite of the consent Fairway asserts. Consent thus operates here not as a defect in the Complaint, but as a defense, and a demurrer may not be sustained on a defense that does not appear from the face of the pleading. (*Casterson v. Superior Court* (2002) 101 Cal.App.4th 177, 183; *CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635.) The face of the pleading affirmatively alleges non-consent. (*Id.* at 14:3-5.)

Even setting that aside, consent ordinarily presents a factual question that is not amenable to resolution on the pleadings alone. In *Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, the California Supreme Court declined to find that plaintiffs had validly consented to a pat-down search as a matter of law, explaining that the record at the demurrer stage did not establish valid consent and that “[f]urther factual development [was] necessary.” (*Sheehan v. San Francisco 49ers, Ltd.* (2009) 45 Cal.4th 992, 998.) Federal courts applying CIPA have reached the same conclusion: an evidence-bound determination that a plaintiff actually consented to a defendant’s tracking is inappropriate at the pleading stage. (*Doe v. Meta Platforms, Inc.* (N.D.Cal. 2023) 690 F. Supp. 3d 1064, 1077-1078; *see Vishal Shah v. Cap. One Fin. Corp.* (N.D.Cal. 2025) 768 F. Supp. 3d 1033, 1054 [rejecting a financial institution’s argument on a motion to dismiss that its privacy policy established the plaintiff’s consent to third-party tracking “[b]ecause consent is a factual determination, it cannot be determined on the pleadings”].)

The same is true here. Fairway's consent argument asks the Court to conclude as a matter of law, on the basis of its judicially noticed policies, that Plaintiff actually consented to the very tracking he explicitly alleged he declined. That is an evidence-bound determination the Court cannot make on demurrer.

Because the Complaint alleges that Plaintiff declined consent, and because consent cannot be resolved against Plaintiff at the pleading stage where Plaintiff has adequately pleaded lack of consent, Fairway's consent argument does not provide a basis to sustain the demurrer as to any cause of action.

Fairway's reliance on its judicially noticed materials does not change this result. As set forth above, the Court has taken notice of Exhibit A and of Plaintiff's exhibits 1 through 7 only for their existence and content, and not for the truth of any contested inferences as to what Plaintiff encountered when he visited the website. Those materials therefore cannot establish, as a matter of law, that Plaintiff saw and assented to Fairway's Terms of Service and Privacy Policy. And even considered only for what they contain, the materials do not reflect the notice-and-assent structure Fairway's argument requires. Fairway contends that, before entering any information, Plaintiff would have agreed to its Terms of Service and Privacy Policy, and that those documents disclosed the transmission Plaintiff now challenges. (Dem. at 12:16-13:28.) Fairway characterizes the arrangement as a "sign-in-wrap" agreement, under which a user is bound by terms presented through a hyperlink where the user is required to take an affirmative step manifesting assent. (Dem. at 12:22-24; *See Silver v. Stripe, Inc.* (N.D. Cal. 2021) 2021 U.S. Dist. LEXIS 141090 at 8.)

Sign-in wrap agreements do include a textual notice indicating the user will be bound by the terms, but they do not require the consumer to review those terms or to expressly manifest their assent to those terms by checking a box or clicking an "I agree" button. Instead, the consumer is purportedly bound by clicking *some other* button that they would otherwise need to click to continue with their transaction or their use of the website—most frequently, a button that allows the consumer to "sign in" or "sign up" for an account. Thus, it is not apparent that the consumer is aware that they are agreeing to contractual terms simply by clicking some other button. Instead, "the consumer's assent is 'largely passive...'"

(*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 471 quoting *Selden v. Airbnb, Inc.* (D.D.C. Nov. 1, 2016) U.S. Dist. LEXIS 150863, at 11.)

The enforceability of such an agreement turns on whether the terms were presented in a manner that would put a reasonably prudent user on notice, which depends on the conspicuousness of the notice and its proximity to the act said to constitute assent. (*Sellers, supra*, 73 Cal.App.5th at 471; *Berman v. Freedom Fin. Network, LLC* (9th Cir. 2022) 30 F.4th 849, 856-857.) An enforceable agreement requires both that the website provide reasonably conspicuous notice of the terms and that the user take some action that unambiguously manifests assent to those terms; a user's action manifests assent

“only if the user is explicitly advised that the act ... will constitute assent.” (*Patrick v. Running Warehouse, LLC* (9th Cir. 2024) 93 F.4th 468, 477 quoting *Berman, supra*, 30 F.4th at 857.) A notice that does not convey to the user what action will constitute assent to terms does not establish an enforceable agreement. (*Berman, supra*, 30 F.4th at 857.)

Fairway’s authorities do not establish otherwise. Fairway relies on *Silver v. Stripe Inc.*, and *Patrick v. Running Warehouse, LLC*, but in both cases, the notice advising the user that proceeding would constitute assent appeared together with the act said to manifest assent. (*Silver v. Stripe, Inc., supra*, 2021 U.S. Dist. LEXIS 141090 at 9-10 [notice was “close to the ‘place order’ button,” such that it was “hard for a user placing an order to miss it”]; *Patrick, supra*, 93 F.4th at 477 [“explicit notice on the final order review page, directly below key information such as the purchase total, and directly below the button [plaintiff] tapped to complete his purchase”].)

Here, by contrast, in the screens Fairway and Plaintiff have submitted, the agreement language appears on the first screen, while the fields for entering contact information appear only on the seventh screen. (Def. RJN, Exhibit A; Plaintiff’s RJN & Objections, Exhibits 2-7.) In those materials, the notice appearing on the screens that contain fields for user input, including the screen depicting the contact-information fields, starts only that the user may “click to view” the policies; it does not advise the user that proceeding or entering information will constitute assent. (*Ibid.*) Under the very standard Defendant invokes, an action manifests assent only if the user is “explicitly advised” that the action will constitute assent. (*Patrick, supra*, 93 F.4th at 477; *Berman, supra*, 30 F.4th at 857.) Fairway’s contention that the policies were “repeatedly presented” through these later screens does not cure the problem; repeated invitations to “click to view” the policies are not repeated notices that proceeding constitutes agreement to them. (Reply Brief in Support of Demurrer to Complaint (“Reply”) at 5:11-12.)

Moreover, the same notice on which Fairway relies states that “[c]onsent is not required to use our services.” (Def. RJN, Exhibit A.) That statement introduces further ambiguity as to whether a visitor’s continued use of the site manifests assent to the Terms of Service and Privacy Policy at all. Whether Fairway’s notice was sufficiently conspicuous and proximate to bind Mr. Penning cannot be resolved in Fairway’s favor on these materials at this stage of the proceedings.

A further consideration confirms that consent is not suited to resolution on demurrer here. A demurrer is not the procedure for determining the truth of disputed facts or for selecting among competing inferences where more than one inference may reasonably be drawn. (*CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635.) The noticed screenshots were captured in 2026, and the Complaint does not allege when Mr. Penning visited Fairway’s website. The Court therefore cannot infer in Fairway’s favor, that the noticed materials reflect what Plaintiff encountered when he visited the site, or that he proceeded through the sequence in a manner manifesting assent. For these reasons as well, the judicially noticed materials do not establish that Mr. Penning consented.

Accordingly, Fairway’s consent argument does not provide a basis to sustain the demurrer. This conclusion does not, however, establish that any particular cause of action is adequately pleaded. Because consent is not a proper ground for sustaining the demurrer, the Court addresses each cause

of action on its own elements, mindful that several of Fairway's remaining arguments are independent of consent.

B. Penal Code § 631

Penal Code section 631(a) defines four categories of prohibited conduct. The first reaches a person "who by means of any machine, instrument, or contrivance, or in any other manner, intentionally taps, or makes any unauthorized connection ... with any telegraph or telephone wire, line, cable, or instrument, including the wire, line, cable, or instrument[.]" (Pen. Code, § 631(a).) The second reaches a person "who willfully and without the consent of all parties to the communication, or in any unauthorized manner, reads, or attempts to read, or to learn the contents or meaning of any message, report, or communication while the same is in transit[.]" (*Ibid.*) The third reaches a person "who uses, or attempts to use" any information obtained through the first two clauses. The fourth reaches a person "who aids, agrees with, employs, or conspires with" another to commit any of the foregoing acts. (*Ibid.*; see *Swarts v. Home Depot, Inc.* (N.D.Cal. 2023) 689 F. Supp. 3d 732, 743-746.) Because a demurrer does not lie to part of a cause of action (*PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682), the first cause of action survives if Plaintiff has stated a claim under any of these clauses.

i. First Clause

The first clause does not apply here. By its terms it reaches only unauthorized connections with a "telegraph or telephone wire, line, cable, or instrument," and courts have consistently held that it does not extend to communications over the internet. (*Swarts, supra*, 689 F. Supp. 3d at 743; *Licea v. Am. Eagle Outfitters, Inc.* (C.D.Cal. 2023) 659 F. Supp. 3d 1072, 1081.) Mr. Penning alleges he communicated with Fairway over the internet using a laptop computer, not through any telephonic instrument, and he does not oppose the demurrer as to the first clause. The first clause therefore provides no basis for liability. (Compl. at 13:17-18.)

i. Second Clause

Fairway advances two arguments against the second clause. (Dem. at 15:22-23, 25-26.) Neither supports sustaining the demurrer.

First, Fairway invokes the "party exception" – because Mr. Penning communicated with Fairway, Fairway was a party to the communication and cannot be liable for eavesdropping on its own conversation. (Dem. at 15:15-23; see *Rogers v. Ulrich* (1975) 52 Cal.App.3d 894, 899 (disapproved on other grounds by *In re Arias* (1986) 42 Cal.3d 667, 680, fn. 11).) But the Complaint does not allege that Fairway eavesdropped on its own communications. It alleges that Fairway embedded third-party trackers that enabled third parties, Google, DoubleClick, YouTube, Verisk/Jornaya, and AdTheorent, to intercept Plaintiff's communications in order to "read[], learn[], and exploit[]" those communications and to "intercept, store, use, and re-sell detailed information gleaned from homeowners and other website visitors' interactions with Fairway's site." (Compl. at 1:19-23, 2:1-2, 5:3-8, 21:8-20.) It further alleges that Fairway aided those third parties in doing so. (*Ibid.*) The party exception does not shield a defendant from liability for assisting a third party's interception, as alleged here.

Courts applying the party exception distinguish between a third party that functions as a mere tool or extension of the website operator, simply furnishing the intercepted data back to the operator, and a

third party that intercepts the data for its own independent purposes. (*Licea v. Am. Eagle Outfitters, Inc.* (C.D.Cal. 2023) 659 F. Supp. 3d 1072, 1082.) Where the third party is alleged only to relay information back to the defendant, it is treated as the defendant's instrument, much like a tape recorder, and no third-party interception is stated. (*Id.* at 1082-1083.) Where, however, the third party "monitors, analyzes, and stores information about visits to [defendant's] websites, and that [third party] can use that information for other purposes ... this is 'beyond the ordinary function of a tape recorder.'" (*Javier v. Assur. IQ LLC* (N.D.Cal. 2023) 649 F. Supp. 3d 891, 900; *see also Yoon v. Lululemon United States* (C.D.Cal. 2021) 549 F. Supp. 3d 1073, 1081 [a third-party who captures, stores, and interprets a website visitor's real-time data extends beyond the ordinary function of a tape recorder for the purposes of the party exception].)

Plaintiff's Complaint alleges the latter. Plaintiff alleges that the third parties do not merely return his information to Fairway, but intercept, store, use, and re-sell it for their own independent purposes, including building individualized advertising profiles, selling targeted advertising, and re-selling the data to others. (Compl. at 2:1-2, 2:23-3:4, 11:1-4, 19-24.) Taken as true, those allegations place this case squarely within *Javier* and *Yoon*, not within the "mere tool" cases. The party exception therefore does not defeat the second clause theory on demurrer.

Second, Defendant argues that the Complaint does not adequately allege interception "in transit," and that Plaintiff's allegations are internally inconsistent: paragraph 96 alleges that Fairway "recorded" the communications and then "transmitted" them to third parties, which Fairway contends describes a recording made after receipt rather than an interception made in transit, while paragraph 99 alleges contemporaneous interception. (Dem. at 15:25-17:4; Compl. at 20:14-16, 21:4-7; *see Manti v. Gunari* (1970) 5 Cal.App.3d 442, 449-450.)

Read as a whole and liberally construed, the Complaint alleges that the trackers operate by duplicating a user's communications in real time, as they interact with the website, and transmitting them to the alleged third parties before these communications reach Fairway's servers. (Compl. at 6:21-7:3; 21:4-7.) Combined with the allegations that the third parties intercept the data to analyze and exploit it for their own advertising purposes (*Id.* at 2:1-2, 2:23-3:4, 11:1-4, 19-24), these allegations support the inference that the third parties read or attempted to read the contents of Mr. Penning's communications with Fairway while in transit. Courts have held that allegations of simultaneous, real-time interception adequately plead the in-transit element at the pleading stage, however. (*D'Angelo v. FCA US, LLC* (S.D.Cal. 2024) 726 F. Supp. 3d 1179, 1198.)

"While a plaintiff must do more than "merely restate[] the pleading requirement of real time interception," the standard is not overly burdensome.' [citation] '[A]llegations that [communications] are intercepted in real time through the use of computer code provides sufficient factual detail to support the "in transit" requirement.' [citation]."

(*Doe v. Tenet Healthcare Corp.* (E.D.Cal. 2025) 789 F. Supp. 3d 814, 838.)

Here, Plaintiff alleges that third parties duplicated, intercepted, and shared in real time communications sent between the visitor's browser and the Defendant's website via third-party trackers embedded in Defendant's website. (Compl. at 6:21-7:8.) This is adequate at the pleading stage.

Fairway's contrary authorities do not compel a different result on demurrer. Fairway relies primarily on *Rogers, supra*, 52 Cal.App.3d 894, for the proposition that a recording made by a participant does not intercept a message while in transit. (*Rogers, supra*, 52 Cal.App.3d at 898.) But *Rogers* involved a party to the conversation recording it for his own use, not a third party intercepting it in real time. (*Id.* at 897-898.) The party exception and the in-transit requirement address different questions: the former asks who is listening, the latter asks when. As discussed *ante*, Mr. Penning does not allege that Fairway recorded its own communications; he alleges that third parties, acting for their own independent purposes, intercepted his communications contemporaneously with transmission. *Rogers* does not speak to that scenario. Fairway's reliance on *Swarts* and *Licea* fares no better at this stage as both courts evaluated the in-transit element on specific factual records and pleadings that failed to allege contemporaneous interception. Here, the Complaint does allege it. Whether the evidence ultimately supports that allegation is a question for another day. (*Alcorn, supra*, 2 Cal.3d at 496.)

Fairway's contention that the allegations are contradictory and must be construed against Plaintiff does not warrant a different result. The asserted inconsistency between paragraphs 96 and 99 is not irreconcilable; the Complaint alleges both that the trackers operate contemporaneously with Plaintiff's communications and the intercepted information is transmitted to third parties. Construing the Complaint liberally, as the Court must (Code Civ. Proc. § 452), it alleges contemporaneous third party interception. (*CrossTalk Productions, Inc., supra*, 65 Cal.App.4th at 635 [demurrer is not the procedure for determining the truth of disputed facts or selecting among competing inferences].)

i. Third and Fourth Clauses

The third and fourth clauses are derivative. A violation of the third clause, which prohibits the use of unlawfully obtained information, is contingent on a violation of the first or second clause. (*Swarts, supra*, 689 F. Supp. 3d at 744.) Because Mr. Penning has adequately alleged a violation of the second clause, and further alleges that the third parties used the intercepted information to build advertising profiles, serve targeted advertising, and resell the data (Compl. at 2:23-3:4, 11:1-4, 19-24), the third-clause theory survives.

The fourth clause imposes liability on one who "aids, agrees with, employs, or conspires with" another to commit a violation of the first three clauses, and requires an underlying predicate violation by the aided party. (Pen. Code, § 631(a); *Swarts, supra*, 689 F. Supp. 3d at 744.) Plaintiff alleges that the third parties violated the second clause by intercepting his communications in transit, and that Fairway aided them by embedding their trackers on its website and controlling what information was transmitted. (Compl. at 21:8-20.) Those allegations adequately plead a predicate violation and Fairway's assistance.

In reply, Fairway argues for the first time that the fourth clause required Plaintiff to allege that Fairway knew the third parties intended to violate CIPA, relying on *Esparza v. UAG Escondido A1 Inc.* (S.D.Cal.

Feb. 12, 2024) 2024 U.S.Dist.LEXIS 24429. (Reply at 8:10-19.) This argument does not warrant sustaining the demurrer, for three reasons. As an initial matter, it was raised for the first time in reply. (*American Drug Stores, Inc. v. Stroh* (1992) 10 Cal.App.4th 1446, 1453 “[p]oints raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument.”). In any event, even assuming the fourth clause requires knowledge, the Complaint alleges it: Plaintiff alleges that Fairway “knew that the installation of the trackers and cookies on its website would result in the unauthorized disclosure of customers’ communications to Third Parties” and that Fairway controlled which pages contained the trackers and what information they transmitted. (Compl. at 21:11-18.) Those allegations suffice to allege knowledge at the pleading stage.

Accordingly, although the first clause does not apply, the Complaint states a claim under the second, third, and fourth clauses of Penal Code section 631(a); consequently, the demurrer to the first cause of action is **OVERRULED**.

C. Penal Code § 632

Penal Code section 632 prohibits the intentional eavesdropping upon or recording of a “confidential communication” without the consent of all parties. (Pen. Code, § 632(a).) A communication is confidential if a party to it “has an objectively reasonable expectation that the conversation is not being overheard or recorded.” (*Flanagan v. Flanagan* (2002) 27 Cal.4th 766, 768.) This excludes communications made in any circumstance in which “the parties to the communication may reasonably expect that the communication may be overheard or recorded.” (Pen. Code, § 632(c).)

Fairway relies on *Swarts, supra*, 689 F. Supp. 3d at 747, for the proposition that “A plain reading of [Section 632] itself makes clear that the statute only applies to communications transmitted by telephone, not internet.” (*Swarts, supra*, 689 F. Supp. 3d at 746-747; Dem. at 17:19-20.) That court’s conclusion relied on the text of a different statute. The language the *Swarts* court quoted and analyzed, prohibiting the interception of “a communication transmitted between two cellular radio telephones, a cellular radio telephone and a landline telephone, two cordless telephones, a cordless telephone and a landline telephone, or a cordless telephone and a cellular radio telephone...” is the text of Penal Code section 632.7, not Penal Code section 632. (*Compare* Pen. Code, § 632.7(a) with *id.*, Pen. Code, § 632(a).) Penal Code section 632, by contrast, prohibits using “an electronic amplifying or recording device to eavesdrop upon or record the confidential communication, whether the communication is carried on among the parties in the presence of one another or by means of a telegraph, telephone, or other device, except a radio...” (Pen. Code, § 632(a) (emphasis added).) Courts applying that language have held that website tracking software of the kind alleged here qualifies as a “device” within the meaning of Penal Code section 632. (*Doe v. Meta Platforms, Inc.*, *supra*, 690 F. Supp. 3d at 1080 [pixel software is a device under Penal Code § 632(a)]; *Smith v. Rack Room Shoes, Inc.* (N.D.Cal. Apr. 4, 2025) 2025 LX 171494, at 15 [same, collecting cases]; *Libman v. Apple, Inc.* (N.D.Cal. Sep. 26, 2024) 2024 U.S.Dist.LEXIS 175118, at 46-47 [collecting cases finding software is a device under Penal Code § 632(a)].) Because the “plain reading” on which the *Swarts* court relied derived from the telephone-specific text of Penal Code section 632.7, and because the tracking software the Complaint alleges here is itself a “device” under Penal Code section 632’s own

terms, Fairway's contention that Penal Code section 632 is limited to telephonic communications does not withstand scrutiny.

Fairway further argues that Mr. Penning's communications were not confidential because communications transmitted over the internet are not private and because Plaintiff, in dealing with a mortgage intermediary, necessarily expected his information to be shared. (Dem. at 17:18-24, 17:27-18:4; Reply at 8-9.)

Some courts have held that ordinary internet communications are not confidential for the purposes of section 632. (*Campbell v. Facebook Inc.* (N.D.Cal. 2014) 77 F. Supp. 3d 836, 838-839, 849 [private messages between Facebook users not confidential under Penal Code § 632]; *People v. Nakai* (2010) 183 Cal.App.4th 499, 518 [Yahoo! chat dialogue not confidential under Penal Code § 632]; *In re Google Inc. Gmail Litig.* (N.D.Cal. Sep. 26, 2013) 2013 U.S.Dist.LEXIS 172784, at 84 [emails not confidential under Penal Code § 632].) But whether a particular communication is confidential is a "fact intensive inquiry" that depends on the circumstances, and courts have recognized that the analysis differs where a plaintiff transmits sensitive personal or financial information rather than engaging in routine browsing. (*Vishal Shah v. Cap. One Fin. Corp.* (N.D.Cal. 2025) 768 F. Supp. 3d 1033, 1041, 1054 [plaintiffs' allegation that Defendant's website transmitted to third parties the specific page viewed by the customer, the customer's IP address, cookies, and personal and financial information, was sufficient to support a claim for a violation of Penal Code § 632 at the pleadings stage]; *Smith v. Rack Room Shoes, Inc.*, *supra*, U.S.Dist.LEXIS 70510, at 3-4, 14-15 [Penal Code § 632 claim survived where third-party code captured user's search queries, items viewed and placed in cart, user's name, address, phone number, email and other personally identifying information].)

The reasonable-expectation inquiry under Penal Code section 632 turns on whether Plaintiff could reasonably expect that his communications would not be overheard, not on whether he expected Fairway to make any use whatsoever of the information it collected. A person who submits information to a mortgage lender necessarily expects the lender to process that information in connection with the loan they are seeking. That expectation does not, without more, establish that they also expected independent third parties, here, advertising and data companies with no role in the mortgage transaction, to intercept the user's communications in real time, before they reached Fairway, for purposes of profiling and resale. (Compl. at 1:24-2:2, 2:23-3:4, 11:1-4, 19-24.) The Complaint alleges that Defendant collected sensitive financial information, including Plaintiff's credit score and the loan amount he sought, after clicking "I decline" on a banner that he understood to refuse such tracking. (*Id.* at 13:19-14:5, 14:13-15.) Whether a person in that position reasonably expected that submission to result in covert interception by unrelated third parties is a fact-bound question that cannot be resolved against Plaintiff on the pleadings.

For the same reasons, Fairway's argument that Mr. Penning, by understanding Fairway to be a mortgage intermediary, "necessarily knew the information entered would be shared with third parties" does not warrant sustaining the demurrer. (Dem. at 17:27-18:4 citing Complaint at ¶¶ 18, 49, 62.) That Mr. Penning understood Fairway would share information with lenders and others involved in processing his mortgage application does not establish, as a matter of law, that he also expected

independent advertising and data companies with no connection to that transaction to intercept his communications for their own commercial purposes. The two are not the same expectation and the Complaint does not concede the latter.

Fairway separately contends that Plaintiff admitted he had no reasonable expectation of privacy. (Reply at 9:1-6.) Fairway represents that “Plaintiff admits [in his opposition] that he anticipated that the information that he provided to Fairway through the application process to be transmitted to third-parties,” and that this admission defeats confidentiality under Penal Code section 632. (*Id.* at 9:1-17.) The Court does not agree.

Fairway’s own Reply quotes the sentence from Plaintiff’s opposition in full: “[t]he submission of sensitive PII as part of obtaining a quote for a personal financial loan, particularly where a user has been presented with an explicit privacy decision through an Opt-Out Banner, plainly gives rise to a reasonable expectation that such communications will not be recorded and disclosed to third parties for purposes other than acquiring a mortgage[.]” (*Id.* at 3-6 quoting Opp. at 11:11-15 (emphasis added).) That sentence does not concede that Plaintiff expected the type of third-party interception alleged here; to the contrary, it expressly limits the scope of any expected disclosure purposes to those connected with acquiring a mortgage.

Fairway’s characterization of this as an unqualified admission disregards the very limitation its own quotation contains. In any event, a statement in a brief is not a substitute for the allegations of the Complaint, which allege that Plaintiff expected his communications to remain confidential between himself and Fairway and not to be transmitted to or intercepted by third parties. (Compl. at 14:13-15.) The purported admission does not establish the absence of a confidential communication.

Fairway’s reply also asserts, “upon information and belief” that Plaintiff has filed other CIPA actions under a different name, and argues that this bears on whether he had a reasonable expectation of privacy here. (Reply at 9, fn. 3.) That assertion is not a proper subject of judicial notice, and was raised for the first time in reply. The Court does not consider it. (*American Drug Stores, Inc.*, *supra*, 10 Cal.App.4th at 1453.)

Accordingly, the demurrer to the second cause of action is **OVERRULED**.

D. Penal Code section 638.51

Penal Code section 638.51 prohibits the installation or use of a “pen register” or “trap and trace device” without a court order, subject to statutory exceptions including consent. (Pen. Code, § 638.51(a), (b)(5).) A “pen register” is defined as “a device or process that records or decodes dialing, routing, addressing, or signaling information transmitted by an instrument or facility from which a wire or electronic communication is transmitted, but not the contents of a communication.” (Pen. Code, § 638.50(b).) A “trap and trace device” is defined as “a device or process that captures the incoming electronic or other impulses that identify the originating number or other dialing, routing, addressing, or signaling information reasonably likely to identify the source of a wire or electronic communication, but not the contents of a communication.” (Pen. Code, § 638.50(c).)

Fairway raises four arguments against this cause of action: (1) that Plaintiff consented to the conduct

alleged; (2) that a device capturing content cannot, by definition, be a pen register or a trap and trace device; (3) that the specific information Plaintiff alleges was collected constitutes content rather than routing or addressing information; and (4) that, under the rule of lenity, CIPA in its entirety should be construed to apply only to telephonic communications. None warrants sustaining the demurrer to this cause of action.

Fairway's first argument that Mr. Penning consented to the alleged conduct fails for the reasons discussed above. (Section A. *ante*; Dem. at 18:11-17.) Consent is a factual question not resolvable against Plaintiff on the pleadings, and the Complaint alleges that Mr. Penning declined the tracking of which he complains. (Compl. at 14:3-5.)

Second, Fairway contends that the Complaint alleges the trackers captured the contents of Plaintiff's communications, and that, relying on general canons of statutory construction against surplusage, a device capturing content cannot also be a pen register or a trap and trace device under Penal Code section 638.50's definitions. (Dem. at 18-19; Reply at 9:19-10:13; see *Gonzales & Co. v. Dep't of Alcoholic Bev. Control* (1984) 151 Cal.App.3d 172, 178; *Handyman Connection of Sacramento, Inc. v. Sands* (2004) 123 Cal.App.4th 867, 892.)

This precise argument has been considered and rejected. In *In re Meta Pixel Tax Filing Cases* (N.D.Cal. 2025) 793 F. Supp. 3d 1147, 1152-1155, the defendant argued, as Fairway does here, that plaintiffs had "pleaded themselves out of a pen register claim" because CIPA precludes a device from being both a pen register that "records or decodes dialing, routing, addressing, or signaling information" and a wiretap that collects contents. (*Id.* at 1152-1153; Pen. Code, § 638.50(b).) There, the court rejected that argument, explaining that the statutory text does not clearly establish "two entirely nonoverlapping zones of regulation," and that it would be "highly unlikely" that the Legislature intended to permit the installation and use of pen registers so long as the same device also records the contents of a communication. (*In re Meta Pixel Tax Filing Cases, supra*, 793 F. Supp. 3d at 1153.) The court reasoned that the defendant's proposed reading "would allow any entity to avoid CIPA's pen register provisions simply by employing more intrusive forms of technology[,] a result inconsistent with CIPA's protective purpose. (*Id.* at 1154.)

Courts to consider this same argument in subsequent web-tracking cases have reached the same conclusion. (*Gabrielli v. Haleon US Inc.* (N.D.Cal. 2025) 815 F. Supp. 3d 852, 872; *Shah v. MyFitnessPal, Inc.* (N.D.Cal. Jan. 27, 2026) 2026 LX 43836, at 23.) While Fairway's authorities state general canons against surplusage, they do not address Penal Code section 638.51 or the specific question the courts in *In re Meta Pixel Tax Filing Cases*, *Gabrielli*, and *MyFitnessPal* resolved. The statutory definitions describe what information must be captured for a device to qualify as a pen register or trap and trace device; they do not state that a device is disqualified from that definition merely because it is also alleged to capture additional information beyond it. Fairway's proposed reading would insulate the most invasive tracking technology from a statute enacted to protect privacy, a result the weight of authority has declined to adopt.

As to Defendant's third argument related to content characterization, Fairway contends that allegations concerning the loan amount sought, the type of home to be financed, and whether the

home was Plaintiff's primary residence constitute "contents" of a communication, rather than routing or addressing information, under the definition applied to CIPA in *Brodsky v. Apple Inc.* (N.D.Cal. 2020) 445 F. Supp. 3d 110, 127; Dem. at 18:26-19:3.) Even accepting that characterization, it does not defeat the cause of action at the pleading stage for the reasons already discussed: a device that captures such information may still separately violate the pen register provision as to the routing and addressing information it also captures. Plaintiff alleges that the trackers captured routing and addressing information, including his IP address and device identifiers. (Compl. at 2:3-9, 10:26-28, 14:23-15:11, 23:23-25.) Whether particular categories of information Plaintiff alleges were collected constitute content, routing information, or both is a fact-bound question not resolvable in Fairway's favor on the pleadings.

As to Defendant's final argument grounded in the rule of lenity, Fairway contends that CIPA, in its entirety, including Penal Code section 638.51, should be construed to apply only to telephonic communications. (Dem. at 20:10-11.) For this proposition, Defendant relies on *Doe v. Eating Recovery Ctr. LLC* (N.D.Cal. 2025) 806 F. Supp. 3d 1109, however the Court does not read *Eating Recovery Ctr.* to compel that result. *Eating Recovery Ctr.* observed generally that CIPA's language is not well suited to modern technology and, on that basis, applied the rule of lenity to resolve a specific ambiguity concerning the relationship between the second clause of Penal Code section 631 and Penal Code section 632. (*Id.* at 1111-1112, 1114-1115, 1117.) The rule of lenity applies where genuine ambiguity remains after ordinary tools of construction are exhausted; it does not require adopting the narrowest conceivable reading of every provision of CIPA regardless of that provision's own text. Penal Code section 638.51's definitions apply, by their terms, to "dialing, routing, addressing, or signaling information transmitted by an instrument or facility from which a wire or electronic communication is transmitted," language that is not confined to telephone lines. (Pen. Code, §§ 638.51(a), 638.50(b).) Fairway's reliance on *Eating Recovery Ctr.*'s general observation about CIPA does not overcome the specific text of the statute Plaintiff invokes.

Even if the Court agreed with Fairway's definitional argument, that would not warrant sustaining the demurrer to this cause of action. A plaintiff may plead alternative and even inconsistent legal theories at the pleading stage, and it is not proper to force an election between theories a plaintiff has a right to plead. (*Third Eye Blind, Inc. v. Near North Entertainment Ins. Services, LLC* (2005) 127 Cal.App.4th 1311, 1323.) Should discovery show that the trackers captured only routing, addressing, or signaling information as to certain communications, Plaintiff may proceed on a pen register theory as to that conduct notwithstanding his allegations that the trackers also captured content in other respects.

Accordingly, the demurrer to the third cause of action is **OVERRULED**.

E. Breach of Contract

To state a claim for breach of contract a plaintiff must allege: (1) the existence of a contract; (2) the plaintiff's performance or excuse for nonperformance of the contract; (3) defendant's breach; and (4) damage to plaintiff resulting from the breach. (*State Comp. Ins. Fund v. ReadyLink Healthcare, Inc.* (2020) 50 Cal.App.5th 422, 449.) "[T]he vital elements of a cause of action based on contract are mutual assent (usually accomplished through the medium of an offer and acceptance) and

consideration.” (*Division of Labor Law Enforcement v. Transpacific Transportation Co.* (1977) 69 Cal.App.3d 268, 275.) Fairway contends that Mr. Penning has alleged neither consideration nor mutual assent. (Dem. at 20-21.)

“Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings.” (*Alexander v. Codemasters Group Limited* (2002) 104 Cal.App.4th 129.) The manifestation of assent is typically accomplished through offer and acceptance; an offer must be sufficiently definite such that the performance promised is reasonably certain. (*Ibid.*) “Reasonably certain” means the terms provide the basis for determining the existence of a breach and for giving an appropriate remedy. (*Ibid.*)

Consideration is “[a]ny benefit conferred, or agreed to be conferred, upon the promisor, by any other person, to which the promisor is not lawfully entitled, or any prejudice suffered, or agreed to be suffered, by such person, other than such as he is at the time of consent lawfully bound to suffer, as an inducement to the promisor...” (Civ. Code, § 1605; *Steiner v. Thexton* (2010) 48 Cal.4th 411, 420-421.) An act by the promisee does not constitute consideration unless the promisor sought that act in exchange for its promise. (*Bard v. Kent* (1942) 19 Cal.2d 449, 452.)

Plaintiff identifies two potential forms of consideration: his continued use of Fairway’s website, and his later disclosure of personal and financial information. (Opp. at 14:8-11.) “Plaintiff provided consideration in two forms: he used Defendant’s website, and he disclosed his PII to Defendant—but he did so on the express condition that Defendant would honor his selection to decline and refrain from sharing that information with third parties.” (*Ibid.*)

As to continued use, Fairway argues that it had no way of knowing Plaintiff would decline to use its website absent the ability to opt out of cookies, and therefore could not have bargained for his continued use as consideration. (Dem. at 21:12-21.) The premise that continued use benefited Fairway, and that Plaintiff relied on Fairway’s declination-related representation in choosing to proceed, does not by itself establish consideration. “The fact that the promisee relies on the promise to his injury, or the promisor gains some advantage therefrom, does not establish consideration without the element of bargain or agreed exchange.” (*Bard, supra*, 19 Cal.2d at 452.) (citation omitted).)

The Complaint does not allege that Fairway sought Plaintiff’s continued use of the website as a specific price of its promise not to deploy trackers, as opposed to a general benefit Fairway derives from any visitor’s continued use of its site regardless of any privacy commitment. Absent an allegation that the parties mutually understood continued use to be given and received as the return for that particular promise, Plaintiff’s continued use of the website does not supply the bargained-for exchange.

As to disclosure of information, the Complaint’s theory conflates two events that are not alleged to be connected. Mr. Penning alleges that he was presented with Fairway’s cookie banner and declined the use of trackers immediately upon accessing the website, before he had disclosed any information.

(Compl. at 1, fn. 1, 14:3-5.) Mr. Penning separately alleges that he later disclosed personal and financial information in the course of proceeding through Fairway's multi-screen mortgage application. (*Id.* at 13:19-14:2, 24:16-19.) But nothing in the Complaint alleges facts connecting these two events: that Fairway sought Plaintiff's later disclosure specifically in exchange for its declination-related promise, or that Plaintiff provided that disclosure specifically in reliance on, or as the bargained-for price of, that promise. Absent such a link, declining the cookie banner is, at most, an expression of preference at the outset of the visit, and the disclosure of information several screens later is not shown to be the return Fairway sought for the promise Plaintiff identifies.

This defect is related to, and reinforced by, the analysis of Plaintiff's consent argument, *ante*. There, the separation between the notice on which Fairway relied and the screen on which information was entered defeated Fairway's showing that Plaintiff's later conduct was governed by that notice. The same absence of any shown connection between Plaintiff's declination of cookies on the first screen and his disclosure of information several screens later defeats Plaintiff's showing that those two events were part of a single bargained-for exchange. Both arguments depend on treating widely separated screens as a single transaction, and the Complaint does not allege facts bridging that gap in either direction.

Because the Complaint does not adequately allege consideration under either theory Plaintiff advances, it does not allege the existence of a contract, and the Court need not reach Fairway's remaining arguments regarding mutual assent, supersession, or damages.

Accordingly, the demurrer to the fourth cause of action is **SUSTAINED WITH LEAVE TO AMEND**.

F. Business and Professions Code § 17200 Unfair Competition Law ("UCL")

To state a claim under the UCL, a private plaintiff must show injury in fact and a loss of money or property caused by the challenged conduct. (Bus. & Prof. Code, § 17204; *Californians for Disability Rights v. Mervyn's, LLC* (2006) 39 Cal.4th 223, 228-229.) Fairway argues that Plaintiff has not adequately alleged loss of money or property, and that the UCL claim is a derivative of Plaintiff's CIPA claims and fails because those claims fail. (Dem. at 22-23.)

As to standing, Fairway relies on *Huynh v. Quora, Inc.* (N.D.Cal. Dec. 19, 2019) 2019 LX 32015, at 19-20, and *Lau v. Gen. Digit. Inc.* (N.D.Cal. Sep. 13, 2023) 2023 LX 21256, at 19-20, for the proposition that a Plaintiff who lacks any intent to sell their personal information cannot allege a loss of money or property when that information is disclosed. (Dem. at 23:2-13.) Fairway notes that Plaintiff alleges he never intended to sell his information or make it available on the resale market. (Dem. at 23:5-10 citing Compl. at ¶ 70.) That allegation forecloses a lost-opportunity-to-sell theory of injury, but it does not foreclose the theories of economic injury Plaintiff separately advances: diminution of the value of personal information already possessed, and loss of the right to exclude others from accessing it. Courts have recognized these as independent bases for UCL standing in data-privacy cases. (*In re Meta Pixel Tax Filing Cases* (N.D.Cal. 2024) 724 F. Supp. 3d 987, 1024-1025 [identifying the unfair benefit-of-the-bargain, diminished value of personal information, and reduced right to exclude as independent theories of economic injury under UCL]; *Calhoun v. Google LLC* (N.D.Cal. 2021) 526 F. Supp. 3d 605, 636 [plaintiffs who lost control of their personal information suffered economic injury sufficient for

UCL standing].)

Here, the Complaint alleges that Plaintiff's information was disclosed to and used by third parties without his consent, causing a loss in the value and exclusivity of that information, independent of any interest in selling it. (Compl. at 26:10-11.) That is sufficient to allege loss of money or property at the pleading stage.

As to the derivative predicate argument, a UCL claim premised on unlawful conduct requires an underlying violation of law. (*Ingels v. Westwood One Broadcasting Services, Inc.* (2005) 129 Cal.App.4th 1050, 1060.) The Complaint alleges that Fairway's conduct violated California common law, the Gramm-Leach-Bliley Act, 15 U.S.C. §§ 6801–09, the Fair Credit Reporting Act, 15 U.S.C. § 1681 et seq., the California Consumer Privacy Act, Cal. Civ. Code § 1798.100 et seq., and the CIPA provisions discussed above. (Compl. at 25:4-8.) Fairway's demurrer challenges only the sufficiency of the CIPA-based predicate; it does not address the other statutory and common law predicates the Complaint identifies, and the Court does not reach them. As discussed *ante*, Plaintiff has adequately alleged violations of Penal Code sections 631, 632, 638.51. (*Ante*, sections B-D.) That is sufficient to support the unlawful prong of the UCL claim at the pleading stage, and the demurrer's derivative-predicate argument fails regardless of whether the remaining predicates are independently sufficient.

Accordingly, the demurrer to the fifth cause of action is **OVERRULED**.

VI. Conclusion

For the foregoing reasons, the demurrer is **OVERRULED** as to the first, second, third, and fifth causes of action and **SUSTAINED WITH LEAVE TO AMEND** as to the fourth cause action.

Plaintiff has 15 days from the date of entry of this order to file and serve any amended pleading.